

The Love Letter

The Love Letter: Crash Out Diary Vision & Mission Statement

To Anyone Who Reads This First

This company is deeply personal. It's more than personal to me. It's cellular. On a molecular level, I feel so driven to build something to help heal people so they can empower themselves.

My parents told me I was a child of love. That they were deeply and wildly in love when I was conceived. And I believe that it's proof by how I operate, how I function, how I build, and how deep my heart goes. How much I can love a complete stranger. How open I am to talking to anyone about anything. How people see me as a safe place. How willing I am to listen, to be an ear for someone who needs it. How deeply I love my son. I love my son. I would choose him in every universe, in every new world, I would choose him. That love transmutes into technology and that technology will heal the world.

Our Mission

We meet people where they are in their messiest moments, and have their back.

Crash Out Diary exists to be a resource when people don't have anything else and access to anything else. We build technology that resonates with emotion and allows people to shift, jump timelines, cut through the veil that makes them see themselves as less than, not good enough, undeserving of.

Because deep down, all of that is untrue, and I am a firm believer that we are all put here for a higher benefit. Everybody is important, everybody has a role...if they didn't, they wouldn't exist.

Our Vision

To build tools that increase inner resilience towards things that tear them down, shame, disappointment, fear, rejection and help them get the confidence they need to perform the way they want to in real life.

Where We're Going

In the immediate future:

Crash Out Diary serves as both an emotional regulation tool and a companion who performs as a coach. We're building a library of micro-interventions which are wellness mini games designed with culture and fun in mind because you always can crash out, and we'll be there when you do. We believe that healing can be fun, and unlocking a sense of play makes engaging in your mess a little bit easier and more tangible to practice. The wellness mini games include tapping, screaming, crash-out-specific meditations that curse and validate, havening, affirmations, reframing/redecision, journaling, and so much more.

In the near future:

We become your second brain of wellness. A gamified experience that makes you want to check in, that builds a knowledge base you can take with you, to your therapist, to your next chapter, to wherever you go. We're not just a one-off tool like meditation apps that require you to already want to meditate. We take you through a transformation because we know life be lifing, and when it does, we're already there.

We empower your village: your therapist, coach, or counselor to understand you on a deeper level. Right now, you go to therapy week-to-week, you go to a coach week-to-week. But in between those sessions, when you have to actually apply the work, your therapist isn't seeing how you're implementing or what blocks are stopping you. They're also just getting the version of you that performs in therapy, the version that shows up "ready" to work.

You perform less with AI. It gives a more candid view.

Based on your consent, your village can access your activity data: what tools you're using, what's working, what's not. The activities you do are automatically logged. But when it comes to what you say, the journaling, the venting to the AI, you consent to what gets submitted to the knowledge base and what doesn't.

Here's why that matters: a therapist may recommend that you journal, but you find that doing voice notes while walking has been more impactful. Now your therapist knows that. They can encourage that behavior more. They can meet you where you actually are, not where they think you are

This helps you reach transformation faster. It helps them deliver better results, which means they can help more people and have a bigger impact.

The backend will work two ways: therapists can white label the product and license it under their own name, or they can simply recommend Crash Out Diary to their clients and access the shared data through our platform. Either way, they're getting a tool that makes them better at their job. And you're getting support that actually understands what you're going through in real time, not just once a week in a 50-minute session.

In the long-term vision

Crash Out Diary connects to biometrics. Wearable tech like mood rings, Aura rings, heart rate monitors. We cross-reference that data with when you crash out so you can understand how emotional stress impacts you at a cellular level. That knowledge influences you to understand more about your body and make better decisions.

When the wearable detects something - elevated heart rate, disrupted sleep, whatever the signal is - the app responds. It pings you. It automatically opens a specific tool. It intervenes before the crash out fully happens, or it supports you through it in real time.

And here's where it gets bigger: **your data belongs to you.** If researchers want access to understand Gen Z mental health patterns, they pay you. If universities are studying emotional regulation interventions, they pay you. If pharmaceutical companies are developing new treatments, they pay you. If insurance companies want insights on what actually prevents crisis moments, they pay you.

It's opt-in. You turn on a certain mode. That mode means the data you share over this period of time is being used for research, for insights, for building better tools. The more that mode is on, the more you're rewarded in cash. When that mode is off, your data is siloed. You're not getting paid, but you're still getting rewarded in self-development, in meeting your goals, in better access to your village.

The data itself won't be personally identifying. We're not selling "Karima from Maryland said this." We're selling insights: "Women aged 18-25 experience crash outs most frequently at 10-11 PM, primarily about romantic relationships, and voice notes while walking reduce the intensity by 40%." Aggregate patterns that help build better interventions for everyone.

Blockchain protects this. It ensures the terms don't change on you later. It creates a transparent record of consent, of what was shared, of who accessed it, of how you were compensated. Your data is yours. You control it. You profit from it.

What we aim to build is a system where investing in yourself literally pays you back. Where your healing journey creates value not just for you, but for every person who comes after you. Where the data that tracks your worst moments becomes the foundation for preventing someone else's.

We believe in abundance. We don't believe we have to extract money and knowledge from our customers. If we can provide them value, they can provide value back to us.

Where We Start & Why Now

I am one of those 600,000 Black women who lost their jobs. I got laid off last March. I built Crash Out Diary because I needed it, because I was using Claude for therapy, because I couldn't afford insurance, because there was a gap between what I needed and what existed.

But I'm not just building this for me.

Gen Z and Gen Alpha are growing up in an AI-native world. They're already using ChatGPT to vent. They're already talking to bots. They're learning emotional regulation from TikTok instead of their parents. They're performing in therapy before they even know what authenticity looks like.

If we can reach them now - in high school and college, when they're being molded the most - we can teach them emotional regulation the world didn't teach them. We can give them tools that meet them where they are, in their messiest moments, regardless of what's going on in their lives.

That's where we start. Gen Z. High schools. Colleges. One generation. One clear focus. We solve the problem completely for them first.

Then we scale. Different branding. Different cultural touchpoints. Same core mission: meet people in their messiest moments and have their back.

Millennials need this too. But we start with Gen Alpha and Gen Z because that's where we have traction and can make the biggest impact right now.

What We're Building

For consumers: A companion that doesn't judge you, that validates your mess, that gives you tools in the moment you need them, not when you've already calmed down.

For therapists: A product that makes them better practitioners. More patient insights, better session prep, agents they can talk to about their clients. If I get one therapist, that's five clients—five seats they pay for.

For universities: A retention play. Data on why students are dropping out. Proof that emotional regulation tools keep students enrolled and graduating. Not Headspace. Not another meditation app they have to want to use. Something that meets them in their crash-outs.

For researchers, pharmaceutical companies, insurance companies, tech companies building AI safety models, and healthcare systems: We're building a data asset that will be valuable to them in the future. Anonymized, consented, ethical data on what actually works for emotional regulation at scale.

For the future: A community of mental health professionals who want to use AI. A suite of emotional tech products. A model where users own their data and profit from it.

The Truth of It

60,000 people have used this app. I built it by vibe coding every week after I got laid off, thinking I'd do this until I got a new job. One of them went viral. I stuck with it. I got a part-time job. The other part-time is Crash Out Diary.

I didn't have a go-to-market figured out until January. I wasn't raising money. Then I started talking to people—judges from pitch competitions, mentors, investors—and they helped me see the gap. Going viral is cute, but it's not venture-attractive. I needed a business model.

So now I have one. B2B2C. Therapists on one end. Universities on another. Consumers in the middle, consenting to what gets shared, building their own knowledge base, owning their own data.

I'm raising an angel round 250k to build this vision out. To hire a team. To work on this full-time. Because right now it's still bootstrapped. I'm still hustling. I work my part-time job. I didn't take a vacation last year. It's been rough.

But I know for a fact that this vision is worth this much money. I have an audience that's already used it. I can reach them and grow them. I'm not stopping B2C for B2B—I'm doing both. And I feel confident asking for the money I need to get there.

This Is the First of Many

Crash Out Diary will be one of the first of many products that I produce. It's my love letter to the world. It's the beginning of a slew of emotional tech products.

If you're reading this and you're thinking about joining this team, investing in this vision, partnering with this mission—know this:

We build tools that increase human resilience towards things that tear them down. We meet people in their messiest moments. We have their back. We believe everybody is important, everybody has a role. We believe in abundance, not extraction. We believe your data is yours. We believe you deserve to feel confident, empowered, and whole.

And we're building the technology to make that real.

Welcome to Crash Out Diary.



Metrics

Retention Metrics (Authenticated Users Only)

Data Coverage: May 28 - September 28, 2025 (120 days)

Critical Context

- Total crashouts in system: 26,469
- Anonymous crashouts: 23,968 (90.6%)
- Authenticated crashouts: 2,501 (9.4%)
- Unique authenticated users: 1,421

All retention metrics below reflect only the 9.4% of users who logged in.

User Retention

Metric	Value	Rate
Day 1+ Retention	202 / 1,421	14.2%
Day 7+ Retention	135 / 1,421	9.5%
Day 30+ Retention	53 / 1,421	3.7%

User Engagement Distribution

Segment	Count	% of Auth Users
One-time users	854	60.1%
2+ crashouts	567	39.9%
5+ crashouts (Heavy users)	55	3.9%
10+ crashouts (Power users)	6	0.4%

Usage Statistics

Metric	Value
Avg crashouts per user	1.76
Median crashouts per user	1
Top 10% threshold	3+ crashouts
Top 5% threshold	4+ crashouts
Top 1% threshold	8+ crashouts

Daily Activity Patterns

Metric	Value
Avg crashouts/day	220.6
Peak single day	621
Active days	120

Positioning Notes

What this means:

- 90%+ of your usage is anonymous/unauthenticated traffic
- Of users who do authenticate, 60% never return after first crashout
- Only 3.7% of authenticated users stick around 30+ days
- Your engaged user base is small but demonstrates real need (top users hit 8+ crashouts)

For investor pitch:

- Frame anonymous traffic as "validation of problem-solution fit"
- Position low authentication rate as a result that when the app initially went viral, I didn't have a login incorporated until about a month later. I was solo building this as a non-technical founder
- Highlight that even without auth prompts, 40% of users who DO sign up come back
- Show 220 daily crashouts as organic product-market fit signal
- Top user behavior (8+ crashouts) proves retention is possible with right hooks

Team

That context changes things. Here's the integrated team section:

Team

Karima Williams, Founder (Full-time) 7+ years in Web3 product marketing and growth strategy at ConsenSys, cLabs (Celo), and Umoja Labs. Served as Interim CEO at Setter (a16z-backed), managing crisis restructuring and reducing burn rate by 85%. Track record includes scaling communities from zero to tens of thousands of users, managing a \$720K grants program, and driving \$38M+ in protocol value through product positioning and community activation.

Julian Severino, Head of Security and Compliance (Part-time) Principal Architect with 15+ years in cloud infrastructure, security, and compliance. Led SOC 2 and ISO compliance projects for organizations ranging from 25 to 10,000 employees. Achieved NIST 800-53 compliance for government clients including the Office of Veterans Affairs. Expertise in AWS, Kubernetes, and Terraform with consistent record of reducing infrastructure costs by 40-60% while maintaining 99.9% uptime.

Naga Lalitha Sree Thatavarthi, Lead Engineer – AI and Full Stack (Part-time) Software and AI Engineer with Master's in Computer Science and 4+ years building cloud-native systems across logistics, healthcare, and e-commerce. Specializes in LLM integration, retrieval-augmented generation (RAG), and agentic AI workflows. Focus on production-ready AI systems that are reliable, observable, and privacy-first in regulated domains.

Advisors

Mikki Bey – Emotional Regulation Expert Nationally recognized life coach, speaker, and the "Queen of Emotional Regulation." Former Shark Tank entrepreneur who works with Fortune 500 companies, global brands, and universities helping high-achieving women regulate emotions and build fulfilling lives.

Constantine Georgiou – Corporate & Wellness Advisor Entrepreneur and venture builder who has launched and scaled startups, incubators, and venture capital firms. Impacted 400+ startups and 500+ companies globally through bootcamps, incubation, and transformation programs. Brings 25+ years of personal practice in wellness modalities and peak performance, informing both corporate strategy and product direction.

Odilakachi W. Hezekiah-Onwukwe – Youth Safety & Clinical Advisor Licensed therapist and mental health content creator specializing in youth populations. Advises on safety protocols and clinical considerations for the AI wellness agent, ensuring the product meets appropriate standards for young users in emotional crisis.

The Data + Research

Research

Research Summary: Market Data for Crash Out Diary

(With Full Citations)

Key Insights from Federal Grant Landscape

Social Emotional Learning

Sub-Program Funding Model (Like GEAR UP): Organizations receiving federal grants (GEAR UP, Project AWARE, School-Based Mental Health grants, What Works in Schools) have budgets to pay for SEL programming, workshops, and app-based interventions. These grant recipients become customers who use their federal funding to contract with vendors like Crash Out Diary.

Research-to-Practice Pipeline: NIMH grants support development and testing of digital therapeutics. Once efficacy is established through research funding, products can be deployed through Department of Education grants (implementation funding) and eventually covered by insurance (Medicare/Medicaid reimbursement pathway).

Competitive Advantage for Crash Out Diary:

- Addresses NIMH priority areas: real-time assessment, engagement measurement, gamification, AI-powered interventions
- Fills gap in current school mental health programs: between-crisis support when counselors unavailable
- Aligns with Department of Education focus on evidence-based interventions for high-need populations
- Potential research partner for universities seeking NIMH funding to study digital mental health interventions

1. Federal Grants for Emotional Regulation/Mental Health Programs

SAMHSA Federal Grants

Women's Behavioral Health Technical Assistance Center (SM-24-012)

- **Budget:** Up to \$2,500,000 per year in total costs (direct and indirect)
- **Status:** Cancelled but demonstrates federal funding scale for behavioral health technical assistance
- **Source:** SAMHSA Grant Announcement SM-24-012, [samhsa.gov/grants/grant-announcements/sm-24-012](https://www.samhsa.gov/grants/grant-announcements/sm-24-012)

Biartisan Safer Communities Act School Mental Health Grants

- **Total funding:** \$1 billion withdrawn in 2025 after funding 1,200+ school-based mental health professionals serving 775,000 students
- **Breakdown:** Approximately \$833,000 per mental health professional OR \$1,290 per student served
- **Impact:** Documented 50% reduction in suicide risk at high-need schools
- **Source:** Mental Health Connecticut blog, "An Alarming Trend: Cuts to Mental Health Services and Funding in Schools and Universities," August 2025, mhconn.org/2025/08/13/an-alarming-trend-cuts-to-mental-health-services-and-funding-in-schools-and-universities/

Additional SAMHSA Funding Examples

- **Community-Based Maternal Behavioral Health Services Program:** \$15 million announced in 2024
- **Women's Behavioral Health Technical Assistance Center:** \$12.5 million announced in 2024
- **Combined announcement:** \$27.5 million for women's behavioral health improvements
- **Source:** AHA News, "SAMHSA announces \$27.5 million in funding to improve women's behavioral health," July 2024, aha.org/news/headline/2024-07-08-samhsa-announces-275-million-funding-improve-womens-behavioral-health

GEAR UP and Sub-Program Funding Model

GEAR UP Overview

- **Full Name:** Gaining Early Awareness and Readiness for Undergraduate Programs
- **Type:** Federal discretionary grant program
- **Target:** Low-income students from middle school through college
- **DC Program Size:** Approximately 800 ninth-graders across 6 high schools

Key GEAR UP Components Aligned with Crash Out Diary:

- Social & Emotional Learning (SEL) activities including:

- Student Leadership Workshops
- Self-Discovery Activities
- Extracurricular and Enrichment Clubs
- Academic Support (tutoring, advising, academic campaigns)
- College & Career Exploration
- Family Engagement

Funding Mechanism Insight: GEAR UP-funded programs can subcontract with vendors/providers for specific services like emotional regulation training. Organizations receiving GEAR UP grants have budgets to pay for SEL programming, workshops, and app-based interventions.

Source: GEAR UP DC program description (provided by user)

Key Insight: Federal programs like GEAR UP represent a funding pathway where the grant recipient (the school or organization) becomes your customer. They use their federal grant money to pay for your services as a sub-contractor.

- **r Plan:** \$19/month (1,000 appointment limit)
- **Solo Power Plan:** \$49/month (unlimited appointments)
- **Group Practice Power Plan:** \$49/month first practitioner, \$19/month per additional
- **Source:** eSEOSpace, "Price Comparison of Top Practice Management Software for Therapists," October 2024

Premium/Enterprise Pricing

- **Range:** \$274-\$8,725/month for large practices
- **Premium plans:** \$283-\$2,480/month
- **Advanced plans:** \$274-\$8,725+/month
- **Source:** Capterra Mental Health Software Guide, capterra.com/mental-health-software/

Annual Spend Calculations

- **Solo therapists:** \$468-\$1,788/year
- **Group practices:** \$3,288-\$104,700+/year depending on size

What Therapists Get for Their Money:

- HIPAA-compliant EHR
- Scheduling & calendar management

4. What Schools/Universities Pay for Mental Health Programs

K-12 Schools

School-Based Emotional Health Screening Costs

- Cost per enrolled student: \$8.88-\$13.64 annually
- Cost per positive screen: Varies by prevalence rate
- Cost per successful linkage to services: \$106.09 (at 20% positive screen rate) to \$416.90 (at 5% positive screen rate)
- 72% linkage success rate within 6 weeks of referral
- Source: Lynch et al., "Cost-Effectiveness of a School-based Emotional Health Screening Program," PMC, PubMed Central, [pmc.ncbi.nlm.nih.gov/articles/PMC2682225/](https://pubmed.ncbi.nlm.nih.gov/articles/PMC2682225/)

Workshop/Speaker Model

- One-time workshops: \$1,000-\$1,500 per session
- Source: User-provided context from DC schools pricing discussion

Federal School Mental Health Funding Scale

- \$1 billion total funded 1,200 professionals serving 775,000 students
- Per student: ~\$1,290
- Per professional: ~\$833,000
- Source: Mental Health Connecticut, August 2025

Colleges & Universities

Average University Mental Health Spending

- Per student annually: \$70
- As proportion of total spending: \$1 for every \$400 of total institutional expenditures
- Total institutional spending per student: ~\$28,000 at public universities
- Source: Daniel Eisenberg, "What Should Colleges Spend on Student Mental Health?", Psychology Today, July 2015, psychologytoday.com/us/blog/investing-in-healthy-minds/201507/what-should-colleges-spend-student-mental-health

Typical 15,000-Student Institution Budget Breakdown

- Total mental health budget: \$750,000-\$1,000,000 annually
- Counseling center staffing: 9 FTEs average

- Salary costs: ~\$600,000
- Overhead costs: ~\$150,000 (administrative support, facilities)
- Prevention spending estimate: ~\$150,000
- Source: Daniel Eisenberg, Psychology Today, July 2015

Staffing Ratios

- Recommended ratio: 1 counselor per 1,000-1,500 students (International Accreditation of Counseling Services standard)
- UC system actual: 1,138 students per counselor (within recommended range)
- CSU system actual: 1,958 students per counselor (significantly understaffed)
- CCC system: Most colleges employ only 1-3 mental health counselors (considerably worse ratio)
- Source: California Legislative Analyst's Office, "Overview of Mental Health Services for College Students," lao.ca.gov/Publications/Report/4481

Demand Trends

- 60% of college students meet criteria for at least one mental health issue
- Nearly 50% increase since 2013
- Rate of students receiving treatment: Rose from 19% in 2007 to 34% in 2017
- Kansas universities example: 32% increase in initial assessments, 21% increase in students treated, 18% increase in therapy appointments (2017-2018 to 2018-2019)
- Sources:
 - Mental Health Connecticut, August 2025
 - Scholars Strategy Network, "How High Stress and Skyrocketing Tuition Contribute to a Growing Mental Health Crisis on College Campuses," January 2024, scholars.org/contribution/how-high-stress-and-skyrocketing-tuition
 - Hispanic Outlook, "College Student Mental Health Care Costs," hispanicoutlook.com/articles/mental-health-costs

Wait Times for Campus Services

- Average wait: 7 business days for first appointment
- Worst cases: Over 2 months wait time
- Source: Association for University and College Counseling Center Directors 2017 report, cited in Scholars Strategy Network, January 2024

Market Size

Crash Out Diary: US Market Size Analysis

Prepared: January 2026
Primary Target: Girls & Young Women (13-21) in the United States
Secondary Target: Young Women (22-25) - expansion market
Product: AI-powered emotional wellness companion
Pricing: \$7.99/month or \$45/year

1. US Gen Z Population (18-25)

Total US Population 18-24

Metric	Value	Source
US population aged 18-24	30.5 million	Census Bureau Vintage 2024
Full Gen Z cohort (13-28)	~71 million	Annie E. Casey Foundation
Gen Z as % of US population	20.8-21%	Statista

Gender Breakdown

Metric	Value	Source
Male-to-female ratio (ages 20-24)	1.04 males per 1 female	StatisticsTimes
Female % of 18-24 cohort	~49%	StatisticsTimes
US overall female %	49.75%	Neilsberg/Census

Calculated: US Gen Z Women (18-25)

Calculation	Value
US population 18-24	30.5 million
Add age 25 (~4.3M, single year estimate)	~34.8 million (18-25)
Female percentage (~49%)	~17.1 million US women aged 18-25

Confidence: ESTIMATED. Census provides 18-24 bracket (30.5M confirmed). Age 25 added via single-year extrapolation.

1B. US Teen Girls Population (13-17) - PRIMARY MARKET

Metric	Value	Source
US population aged 12-17	~25 million	Census Bureau

Female % of under-18 cohort	~49%	Census Bureau
US females aged 15-17	5.84 million	CDC NVSR 2024
US females aged 15-19	~10 million	Wikipedia/Census

Calculated: US Teen Girls (13-17)

Calculation	Value
US females aged 15-17 (confirmed)	5.84 million
Estimated ages 13-14	~3.9 million
Total US girls aged 13-17	~9.7 million

1C. Combined Primary Market: Girls & Young Women (13-21)

Age Segment	Female Population	Source
13-17 (teen girls)	9.7 million	CDC + Census extrapolation
18-21 (young women)	~8.5 million	Census (half of 18-25 cohort)
Total 13-21	~18.2 million	Combined
22-25 (expansion)	~8.6 million	Census extrapolation
Full 13-25 market	~26.8 million	Combined

2. Digital Mental Health Adoption (US-Specific)

Gen Z Using Digital Mental Health Tools

Metric	Value	Source
Gen Z preferring virtual therapy over in-person	70%	Mordor Intelligence
Gen Z online almost constantly	46%	Harmony Healthcare IT
Gen Z with smartphone access	95%	PMC/NIH

Gen Z Comfortable with AI/Chatbots for Mental Health

Metric	Value	Source
US adolescents/young adults using AI for mental health	13.1% (~5.4M)	RAND Corporation
Ages 18-21 using AI for mental health advice	22.2%	RAND/Brown University

18-29 year olds comfortable with AI chatbot	55%	YouGov
Gen Z who describe ChatGPT as therapist/coach/friend	25%	Sentio University
Gen Z talking to AI for 1+ hour daily	40%	Sentio University

Teen-Specific (13-17) AI & Chatbot Usage

Metric	Value	Source
Teens (13-17) using AI chatbots	66%	Pew Research Center
Teens using AI chatbots daily	30%	Pew Research Center
Teens 15-17 using chatbots	68%	Pew Research Center
Teens 13-14 using chatbots	57%	Pew Research Center
Ages 12-17 using AI for mental health	<13.1%	RAND/JAMA

Key insight: While teens 13-17 have slightly lower rates of using AI specifically for mental health advice compared to 18-21 year olds, their overall AI chatbot usage is very high (66%). This suggests openness to AI interaction - the mental health use case is emerging.

3. Mental Health Prevalence (US Gen Z)

Gen Z Women vs. Men (The Gender Gap)

Metric	Women	Men	Source
Poor mental health	35%	21%	Ipsos
Experienced prolonged depression	40%	Lower	Ipsos
Gap size	14 percentage points	-	Ipsos

Key finding: Gen Z women have the largest mental health gender gap of any generation, with 35% reporting poor mental health vs. 21% of Gen Z men.

Teen Girls (13-17) Mental Health - The Crisis

Metric	Girls	Boys	Source
Any anxiety disorder (ages 13-18)	38%	26.1%	NIMH
Major depressive episode (ages 12-17)	29%	12%	Annie E. Casey

Persistent sadness/hopelessness (HS girls)	53%	Lower	CDC YRBS 2023
Current diagnosed condition (12-17)	20.3%	-	HRSA/NCBI
Anxiety diagnosis increase 2016-2023	+61%	-	HRSA
Depression diagnosis increase 2016-2023	+45%	-	HRSA

Key finding: Teen girls have 2-3x the rates of anxiety and depression compared to teen boys. 53% of high school girls report persistent sadness/hopelessness - highest ever recorded.

Teen Treatment Gap

Metric	Value	Source
Teens (12-17) with major depression receiving NO treatment	56%	Compass Health
Teens experienced major depressive episode (2024)	5.2M+	Compass Health
School counseling average waitlist	3+ weeks	Daybreak Health

Unmet Need: Barriers to Care

Barrier	Data Point	Source
Cost barrier	60% of adults with unmet need cite cost	AAMC
Insurance gaps	30% cite insurance doesn't cover enough	AAMC
No in-network therapist	25% can't find provider	NAMI via AAMC
Young adults (18-25) with unmet need	1.5 million annually	SAMHSA
Parents who can afford services	Only 34%	Daybreak Health

4. Market Size Calculation

4A. PRIMARY MARKET: Girls & Young Women (13-21)

TAM: Total Addressable Market

Definition: All US girls/young women (13-21) who could potentially use a mental health app.

Segment	Population	Mental Health Symptoms	TAM (People)	Source
Teen girls (13-17)	9.7M	53% (persistent sadness)	5.1M	CDC YRBS
Young women (18-21)	8.5M	65% (symptoms)	5.5M	Grand View
Combined 13-21	18.2M	-	10.6M	Calculated

Revenue TAM at blended price (\$70/year ARPU): 10.6M x \$70 = \$742 million

SAM: Serviceable Addressable Market

Definition: US girls/young women (13-21) with mental health needs who are comfortable using AI for emotional support.

Segment	TAM	AI Comfort Rate	SAM (People)	Source
Teen girls (13-17)	5.1M	66% (chatbot users)	3.4M	Pew Research
Young women (18-21)	5.5M	55% (comfortable)	3.0M	YouGov
Combined 13-21	10.6M	-	6.4M	Calculated

Revenue SAM at \$70 blended ARPU: 6.4M x \$70 = \$448 million

SOM: Serviceable Obtainable Market

Definition: Realistic market share for a pre-seed startup in years 1-3.

Scenario	Market Share	Users	ARR
Conservative (1%)	1% of SAM (6.4M)	64,000	\$4.5M
Moderate (2%)	2% of SAM	128,000	\$9.0M
Ambitious (5%)	5% of SAM	320,000	\$22.4M

Your current position: 60K users at \$0 CAC = already at ~1% of primary SAM

4B. EXPANSION MARKET: Young Women (22-25)

Metric	Value	Calculation
Population	8.6M	Census extrapolation
TAM (65% with symptoms)	5.6M	8.6M x 65%
SAM (55% AI comfortable)	3.1M	5.6M x 55%
Revenue SAM	\$217M	3.1M x \$70

4C. COMBINED FULL MARKET (13-25)

Market Tier	13-21 (Primary)	22-25 (Expansion)	Full 13-25
Population	18.2M	8.6M	26.8M
TAM (people)	10.6M	5.6M	16.2M
TAM (revenue)	\$742M	\$392M	\$1.13B
SAM (people)	6.4M	3.1M	9.5M
SAM (revenue)	\$448M	\$217M	\$665M
SOM 1%	64K / \$4.5M	31K / \$2.2M	95K / \$6.7M
SOM 5%	320K / \$22.4M	155K / \$10.9M	475K / \$33.3M

Segmented View for Pitch Deck

Segment	Population	TAM	SAM	SOM (1-5%)
Teen girls (13-17)	9.7M	\$357M	\$238M	\$2.4M-\$11.9M
Young women (18-21)	8.5M	\$385M	\$210M	\$2.1M-\$10.5M
Young women (22-25)	8.6M	\$392M	\$217M	\$2.2M-\$10.9M
TOTAL	26.8M	\$1.13B	\$665M	\$6.7M-\$33.3M

5. Data Confidence Flags

Data Point	Confidence	Notes
US 18-24 population (30.5M)	CONFIRMED	Census Bureau Vintage 2024
US females 15-17 (5.84M)	CONFIRMED	CDC NVSR 2024
US females 13-14 (~3.9M)	ESTIMATED	Extrapolated from single-year data
53% high school girls persistent sadness	CONFIRMED	CDC YRBS 2023
66% teens using AI chatbots	CONFIRMED	Pew Research 2025
55% of 18-29 comfortable with AI therapy	CONFIRMED	YouGov survey
22.2% of 18-21 using AI for mental health	CONFIRMED	RAND/Brown peer-reviewed
\$70 blended ARPU	ESTIMATED	Assumes 50/50 monthly/annual mix

6. Investor Narrative

The Problem (Data-Backed)

- **53% of high school girls** report persistent sadness/hopelessness - highest ever recorded (CDC YRBS 2023)

- **29% of teen girls** experienced major depressive episode vs. 12% of boys - 2.4x gender gap (Annie E. Casey)
- 35% of Gen Z women report poor mental health - largest gender gap of any generation (Ipsos)
- **56% of teens with major depression receive NO treatment** (Compass Health)
- 60% cite cost as the barrier; 3+ week average waitlist for school counseling (Daybreak Health)

The Behavioral Shift (Data-Backed)

- **66% of teens (13-17) already use AI chatbots**; 30% use them daily (Pew Research 2025)
- 22% of 18-21 year olds using AI chatbots specifically for mental health advice (RAND)
- 55% of 18-29 year olds comfortable discussing mental health with AI (YouGov)
- **93% of those using AI for mental health find it helpful** (RAND)
- 25% of Gen Z already describe ChatGPT as their "therapist or coach" (Sentio)

The Market (Data-Backed)

Primary Market (13-21):

- **TAM:** \$742M (10.6M US girls/young women with mental health symptoms)
- **SAM:** \$448M (6.4M comfortable with AI support)
- **SOM:** \$4.5M-\$22.4M (1-5% capture)

Full Market (13-25):

- **TAM:** \$1.13B (16.2M US girls/women with mental health symptoms)
- **SAM:** \$665M (9.5M comfortable with AI support)
- **SOM:** \$6.7M-\$33.3M (1-5% capture)

Your Traction

- 60K users at \$0 CAC = already ~1% of primary SAM (13-21)
- Proves product-market fit before paid acquisition
- Validates organic growth thesis in a category where paid CAC is \$75-220+

B2B2C Opportunity (Schools)

- School interest validated (early conversations)
- 3+ week counseling waitlists create institutional demand
- Potential second revenue line for 13-17 segment

Sources Index

1. [US Census Bureau - National Population 2020-2024](<https://www.census.gov/data/datasets/time-series/demo/popest/2020s-national-detail.html>)
2. [StatisticsTimes - US Sex Ratio](<https://www.statisticstimes.com/demographics/country/us-sex-ratio.php>)
3. [Annie E. Casey Foundation - Gen Z Mental Health](<https://www.aecf.org/blog/generation-z-and-mental-health>)
4. [RAND Corporation - AI Chatbots Mental Health](<https://www.rand.org/news/press/2025/11/one-in-eight-adolescents-and-young-adults-use-ai-chatbots.html>)
5. [Brown University/RAND Study](<https://sph.brown.edu/news/2025-11-18/teens-ai-chatbots>)
6. [YouGov - AI Chatbot Therapy](<https://business.yougov.com/content/49480-can-an-ai-chatbot-be-your-therapist>)
7. [Ipsos - Gen Z Women Mental Health](<https://www.ipsos.com/en-us/data-dive-gen-z-women-are-struggling-most-stress-mental-health-issues>)
8. [Harmony Healthcare IT - Gen Z Mental Health 2025](<https://www.harmonyhit.com/state-of-gen-z-mental-health/>)

9. [Grand View Research - Mental Health Apps Market](<https://www.grandviewresearch.com/industry-analysis/mental-health-apps-market-report>)
10. [Mordor Intelligence - Gen Z Mental Health Market](<https://www.mordorintelligence.com/industry-reports/gen-z-mental-health-market>)
11. [AAMC - Barriers to Mental Health Care](<https://www.aamc.org/about-us/mission-areas/clinical-care/exploring-barriers-mental-health-care-us>)
12. [SAMHSA - Young Adults Unmet Need](https://www.samhsa.gov/data/sites/default/files/report_1975/Spotlight-1975.html)
13. [Daybreak Health - Barriers to Youth Mental Health](<https://www.daybreakhealth.com/resources/the-biggest-barriers-to-accessing-youth-mental-health-care>)
14. [Fast Company - Gen Z AI Chatbots](<https://www.fastcompany.com/91422133/a-third-of-gen-z-has-confided-in-ai-chatbots-chatgpt-therapy-over-humans-mental-health-experts-are-worried>)
15. [Sentio University - AI Survey](<https://sentio.org/ai-research/ai-survey>)
16. [Pew Research Center - Teens, Social Media and AI Chatbots 2025](<https://www.pewresearch.org/internet/2025/12/09/teens-social-media-and-ai-chatbots-2025/>)
17. [CDC NVSR - National Vital Statistics 2024](<https://www.cdc.gov/nchs/data/nvsr/nvsr73/nvsr73-06.pdf>)
18. [NIMH - Any Anxiety Disorder](<https://www.nimh.nih.gov/health/statistics/any-anxiety-disorder>)
19. [Compass Health - Teen Mental Health Statistics 2024](<https://compasshealthcenter.net/blog/teen-mental-health-statistics/>)
20. [JAMA Network Open - AI Mental Health Study](<https://jamanetwork.com/journals/jamanetworkopen/fullarticle/2841067>)
21. [CNN - Teens AI Chatbot Use](<https://www.cnn.com/2025/12/09/tech/teens-ai-chatbot-use-study>)

Industry CAC Benchmarks

Industry CAC Benchmarks

Prepared: January 2026 App: AI-powered emotional wellness companion for Gen Z women (18-25) Model: Freemium with ~\$40-50/year subscription

1. INDUSTRY CAC BENCHMARKS

Wellness Apps (Calm, Headspace category)

Metric	Value	Source
Average mobile app CAC	\$29 per user (up 222% over decade)	Business of Apps
Health apps CAC range	\$10-\$30+ for high-value categories	EA Forum Research
US iOS CPI (cost per install)	\$1-2 per install	EA Forum Research
North America average CPI	\$5.28 per mobile app user	Business of Apps

Paid vs. Organic CAC Comparison

Channel	CAC Range	Source
Organic (ASO)	\$20-\$50 per user	BusinessDojo
Community/Referral	\$25-\$65 per user	BusinessDojo
Influencer campaigns	\$40-\$130 per acquisition	BusinessDojo
Paid social (Meta/IG)	\$75-\$220 per user	BusinessDojo

Paid search (Google) \$220-\$1,200+ per user BusinessDojo

Critical insight for your pitch: Users acquired through organic channels show 40-60% higher retention vs. paid-acquired users. Organic users retain at 32-38% D1 vs. 22-25% for paid; by D30, gap widens to 7-9% organic vs. 3-4% paid. ([BusinessDojo](#))

Gen Z-Specific Acquisition Note

40% of Gen Z chooses social media over search for discovery. ([Business of Apps](#))

2. CONVERSION RATE BENCHMARKS

Freemium-to-Paid Conversion (Your Model)

Metric	Value	Source
Freemium model median	2.18% download-to-paid	RevenueCat State of Subscription Apps 2025
Health & Fitness category	~9.4% download-to-subscriber	Business of Apps
North America upper quartile	5.5% download-to-paying	RevenueCat 2025
North America P90	10.5% download-to-paying	RevenueCat 2025
Industry benchmark (freemium)	3-5% good; 6-8% exceptional	First Page Sage

Trial-to-Paid Conversion

Metric	Value	Source
Health & Fitness median	39.9% trial-to-paid	RevenueCat 2025
Top 10% Health & Fitness	68.3% trial-to-paid	RevenueCat 2025
Overall trial conversion (2024)	37.3% (down from 40.5% in 2023)	Business of Apps
Trial with credit card required	43% conversion	Business of Apps
Trial without credit card	14% conversion	Business of Apps

Price Point Context (~\$40-50/year)

App	Annual Price	Notes
Your target	\$40-50/year	Below market leaders
Headspace	\$69.99/year	TekRevol
Calm	\$69.99/year	TekRevol
Wysa	\$74.99/year	TekRevol
H&F category median	\$29.65/year	RevenueCat 2025

Positioning note: Your \$40-50 price sits between the premium leaders (\$70) and category median (\$30). RevenueCat reports median annual pricing at ~3.8x monthly, so \$40-50/year implies ~\$10-13/month equivalent.

Campus Event → App Download → Paid (Estimated)

No direct benchmark found for this specific funnel. However, relevant data points:

- Campus-acquired customers have lifetime value often exceeding \$50,000 due to long-term brand loyalty formed in college ([Placebased Media](#))
- Event-driven app downloads during orientation show highest adoption rates ([CampusGroups](#))
- Peer recommendations drive Gen Z; shared promo codes show high attribution ([Placebased Media](#))

Suggested pitch framing: Campus events create zero-CAC installs with higher intent (voluntary opt-in) and peer network effects that drive organic referrals.

3. ORGANIC ACQUISITION CASE STUDIES

Finch: The Bootstrapped Benchmark

Metric	Value	Source
Monthly revenue	\$4M/month (\$48M ARR)	Arfur Rock / X
Funding	Bootstrapped (declined all VC)	Arfur Rock
iOS Health & Fitness rank	#7	Sensor Tower
D30 retention	Best-in-class (beats Duolingo, Calm, Headspace)	Arfur Rock

Growth strategy (from founders):

- Built 8 failed versions before the pet-based concept worked ([Finch Care Medium](#))
- Started Facebook community June 2021; evolved product with user feedback
- Core self-care content kept free; monetized via optional Finch Plus
- No paid acquisition; relied entirely on product virality and community

Key quote from co-founder: "Motivation is as important as what you do, and that underlies everything we do at Finch." ([Paste Magazine](#))

TikTok/Instagram-Driven Growth

Duolingo case study:

- 38% lift in organic installs over 6 weeks via TikTok creator program ([GRIN](#))
- 27% reduction in CAC on TikTok-attributed users vs. baseline
- 120M+ combined views across challenge hashtags in 3 months

Platform benchmarks:

- TikTok #Hashtag Challenges generate 8.5% average engagement rate (vs. standard digital ads) ([Popular Pays](#))
- 55% of TikTok users create content (vs. 37% on Instagram) — higher UGC potential
- Small business example: 60% of sales from TikTok, 146K followers grown organically with behind-the-scenes content ([TikTok Success Stories](#))

For your pitch: TikTok organic acquisition aligns with Gen Z discovery behavior (40% prefer social over search) and can drive viral loops at near-zero marginal cost.

4. RETENTION BENCHMARKS

Day 1 / Day 7 / Day 30

Timeframe	Health & Fitness Average	Top Performers	Source
D1	20-27%	30-45%	AppsFlyer , Lucid
D7	7-8.5%	13-30%	AppsFlyer, Lucid
D30	2.78-3%	6-25%	AppsFlyer, Business of Apps

3-Month / 6-Month / Annual

Timeframe	Benchmark	Source
M3 (90-day)	~29-31% (fitness apps)	Enable3
Annual subscription retention	33%	Business of Apps
Year-1 subscriber retention	Trending downward (2024 vs 2021)	RevenueCat 2025

Churn Rates

Metric	Value	Source
Health & wellness subscription churn	~10% (highest among categories)	Statista
Month-3 churn cliff	Highest churn period for subscriptions	RevenueCat 2025

First-month annual subscription cancellation	~30% cancel in month 1	RevenueCat 2025
Meditation apps	Lowest churn among wellness categories	Marketing LTB
Mental health app 90-day abandonment	30% abandon within 90 days	Grand View Research

Mental Health App-Specific Challenge

Behavioral change apps (addiction, mental health) face abandonment rates of **95-97%** for certain categories like alcohol recovery. ([Lucid](#))

Mitigation strategies that work:

- Gamification increases D30 retention by 15-30% ([Plotline](#))
- Social features (compare with friends, community) improve retention ([AppsFlyer](#))
- Purchases in first 30 days correlate with 72% annual retention ([Lucid](#))

5. GEN Z WOMEN: MARKET CONTEXT

Market Size

Metric	Value	Source
Gen Z mental health market (2025)	\$33.44 billion	Mordor Intelligence
Gen Z mental health market (2030)	\$49.70 billion (8.25% CAGR)	Mordor Intelligence
Global mental health apps (2024)	\$7.48 billion	Grand View Research
Global mental health apps (2030)	\$17.52 billion (14.6% CAGR)	Grand View Research

Gen Z Mental Health Prevalence

- 42% of Gen Z adults have diagnosed mental health condition ([Journal of Medical Research via Grand View](#))

- 9/10 diagnosed Gen Z have anxiety; 8/10 have depression ([Custom Market Insights](#))
- 41% of Gen Z report worsening mental health in past year (vs. 21% of 45+) ([RedBox Rx](#))

Digital Behavior

- 95% of Gen Z have smartphone access ([PMC/NIH](#))
- 50%+ of Gen Z (13-25) spend 4+ hours online daily (vs. 28% of all US adults)
- 70% of Gen Z prefers virtual therapy over in-person ([Alinvest](#))
- Women and gender-diverse Gen Z prioritize providers who share similar identity ([Pragmatic Coders](#))

Consumer Spending Intent

- 58% plan to spend <\$50/month on wellness subscriptions ([Recurly](#))
- Gen Z and millennials: surprising number plan \$101+/month on wellness
- 71% of consumers use subscriptions to hit health/wellness goals

6. KEY INVESTOR TALKING POINTS

Your Organic Advantage

Industry paid CAC: \$75-\$220 (social) to \$220-\$1,200+ (search) Your CAC to date: \$0 (60K users organically)

Supporting data:

- Organic-acquired users retain 40-60% better across all timeframes
- Apps with strong brand recognition see 40-60% organic install share vs. 20-30% for newer competitors
- Leading apps achieve 25-40% lower CAC than category averages via organic + word-of-mouth

Benchmark Comparisons for Your Model

Metric	Industry Benchmark	Implication for You
Freemium conversion	2-5%	At \$45/year with 60K users, 3% = 1,800 paid × \$45 = \$81K ARR potential

D30 retention	3% average	Target 8-12% (top quartile) through gamification + community
LTV:CAC ratio	3:1 healthy	With \$0 CAC, any LTV is infinite ratio (highlight this)
CAC payback	<12 months target	Instant at \$0 CAC

Finch as Your Comp

Finch proves:

1. Bootstrapped wellness apps can reach \$48M ARR
2. Zero-VC path is viable with strong retention
3. Gen Z responds to gamified self-care
4. Community-driven growth beats paid acquisition

Your differentiation: Crisis intervention + daily coaching (Finch is pet-based habit tracking; you're deeper mental health support for acute moments).

7. DATA CONFIDENCE FLAGS

Data Point	Confidence	Notes
CAC ranges	Confirmed	Multiple sources align
Freemium conversion 2-5%	Confirmed	RevenueCat, First Page Sage consistent
H&F trial conversion ~40%	Confirmed	RevenueCat primary source
D1/D7/D30 retention	Confirmed	AppsFlyer, Statista, Business of Apps align
M3/M6 specific	Estimated	Industry typically reports D30, M3, annual; M6 extrapolated
Finch \$48M ARR	Estimated	Based on ~\$4M/month reports; not officially disclosed
Campus event ROI	No direct data	Logical inference from LTV and peer effects

\$40-50 price point churn	Estimated	Interpolated from \$30 median and \$70 premium data
---------------------------	-----------	---

Sources Index

1. [Business of Apps - User Acquisition Costs](#)
2. [Business of Apps - Health & Fitness Benchmarks](#)
3. [Business of Apps - Wellness App Market](#)
4. [RevenueCat - State of Subscription Apps 2025](#)
5. [AppsFlyer - App Retention Benchmarks 2024](#)
6. [First Page Sage - SaaS Freemium Conversion Rates](#)
7. [Lucid - Retention Metrics for Fitness Apps](#)
8. [BusinessDojo - Mobile App CPA](#)
9. [Finch Care Medium - Founder Retrospective](#)
10. [Grand View Research - Mental Health Apps Market](#)
11. [Mordor Intelligence - Gen Z Mental Health Market](#)
12. [Recurly - Health & Wellness Subscriptions 2024](#)
13. [GRIN - Influencer Marketing Case Studies](#)
14. [Popular Pays - TikTok Case Studies](#)
15. [Statista - Subscription Churn by Category](#)

Competitive Analysis

COMPETITIVE LANDSCAPE ANALYSIS

Executive Summary

This analysis maps the competitive landscape for Crash Out Diary, an AI emotional wellness app targeting Gen Z women (18-25) with crisis intervention and daily emotional coaching. The market is fragmented across AI companions, clinical chatbots, therapy platforms, and wellness incumbents—but no single player owns the intersection of crisis intervention + Gen Z cultural fluency + daily AI coaching.

Key Findings:

- Market size: \$8.5B in 2025, projected \$18.5B by 2030 (16.8% CAGR)
- White space exists: No AI-native crisis intervention platform targeting Gen Z women specifically
- 49% of users with mental health issues already use LLMs for support (potential market validation)
- Biggest threats: Headspace (just launched Ebb AI companion), Wysa (clinical backing + B2B scale)
- Acquirer landscape active: Google (\$2.7B Character.AI), Teladoc (\$30M UpLift), Talkspace (Wisdo)
- Woebot exit creates opportunity: Shut down consumer app June 2025 due to FDA regulatory challenges—validates wellness positioning over clinical claims

1. Direct AI Mental Health Competitors

1.1 Replika

Business Model: Freemium B2C. ~25% of users pay. 60% of paying users in romantic relationships with chatbot.

Pricing: \$19.99/month, \$69.99/year, or \$299.99 lifetime

Target Audience: Adults seeking companionship/emotional support. Skews male. 40M+ users globally.

Funding: \$11M total (Series A \$6.5M from Khosla Ventures, 2017). M&A offer received April 2025.

Revenue: Estimated \$300K/month iOS only; ~\$14M ARR range

Strengths:

- Proven emotional engagement model—users form deep bonds
- 24/7 availability, personalized companion experience
- Strong brand recognition in AI companion space

Weaknesses/Gaps:

- Pivoted heavily to romantic AI after regulatory pressure (Italy ban 2023)
- No clinical backing or crisis intervention protocols
- Not culturally tuned for Gen Z women—broader demographic
- Reputational risk from romantic/NSFW associations

Positioning vs Crash Out Diary:

Adjacent competitor. Different wedge (romantic companionship vs. crisis intervention). Investors may conflate—differentiate by emphasizing wellness coaching focus and Gen Z women positioning.

Acquisition Potential: Unlikely acquirer. Different positioning. Could be acquisition target themselves.

1.2 Wysa

Business Model: B2B2C hybrid. Freemium consumer app + enterprise contracts (employers, health plans, NHS).

Pricing: Consumer: \$74.99/year premium, \$19.99/session coaching. Enterprise: Custom pricing.

Target Audience: Adults with anxiety/depression. Strong B2B traction (Accenture, Aetna, NHS UK, Singapore MOH).

Funding: \$30.5M total (Series B \$20M in 2022). Acquired April Health (March 2025), Kins (Sept 2025).

Scale: 95 countries, 11 million lives covered

Strengths:

- Clinical validation (CBT, DBT, mindfulness techniques)
- Strong B2B2C distribution through employers and health plans

- Three-tier model: AI chat → human coaching → clinical programs
- Active M&A strategy (April Health, Kins acquisitions)

Weaknesses/Gaps:

- Not Gen Z-focused or culturally fluent
- Clinical tone may feel sterile to younger users
- No gamification or daily engagement hooks
- Crisis intervention exists but not the wedge

Positioning vs Crash Out Diary:

Direct competitor in AI mental health. Key differentiation: Wysa serves enterprise/clinical market with broad demographics. Crash Out Diary serves Gen Z women with cultural fluency and wellness coaching approach.

Acquisition Potential: HIGH. Active acquirer in mental health tech. Could acquire Crash Out Diary for Gen Z market entry.

1.3 Woebot Health: Case Study in Regulatory Risk

Status: CONSUMER APP SHUT DOWN June 30, 2025. Pivoted entirely to B2B enterprise.

Funding: \$123M total (\$90M Series B from Temasek, \$9M from Leaps by Bayer)

Revenue (at exit): \$35M ARR as of April 2025

Users: 1.5M lifetime users before shutdown

Why Woebot Shut Down:

1. FDA Regulatory Limbo

The FDA has a pathway for rule-based chatbots but NO clear guidance for LLMs. According to founder Alison Darcy, the shutdown was "largely attributable to the cost and challenge of fulfilling the FDA's requirements for marketing authorization." Without FDA clearance, Woebot couldn't legally market its product as a clinical tool—and their entire value proposition was clinical.

2. Rules-Based Architecture Became Obsolete

Woebot was pre-scripted and rules-based, not generative AI. When ChatGPT launched, their "interactive feel" was no longer differentiated. Darcy explicitly said "AI is moving faster than regulators." They couldn't adapt their architecture to compete with modern LLMs while maintaining FDA compliance.

3. Unsustainable Economics

\$123M raised, 1.5M users, but no path to monetization in consumer market without FDA clearance. The B2B pivot was a retreat, not a strategy. Enterprise contracts through healthcare partners let them operate under partner organization codes rather than direct-to-consumer claims.

Why Crash Out Diary Won't Face the Same Fate:

1. Wellness Coaching Positioning (Not Clinical)

Crash Out Diary positions as emotional wellness coaching—NOT clinical therapy, diagnosis, or treatment. Under FDA guidance (updated January 2026), general wellness products with intended uses relating to "maintaining or encouraging a general state of health" are NOT subject to FDA device regulation. The FDA explicitly does not intend to examine low-risk general wellness products for premarket review compliance.

Key language to avoid: "treats," "diagnoses," "cures," "mitigates" any disease or condition. Key language to use: "supports," "encourages," "helps maintain," "coaching," "wellness."

2. LLM-Native Architecture

Woebot was rules-based and couldn't evolve. Crash Out Diary is built on modern LLM infrastructure (Claude/Anthropic) from day one. This means the product improves as underlying models improve—no architectural rebuild required. When Claude gets better at emotional nuance, Crash Out Diary automatically benefits.

3. Different Competitive Moat

Woebot's moat was clinical validation (14 trials, FDA Breakthrough designation). That moat became a trap when FDA guidance didn't evolve with LLM technology. Crash Out Diary's moat is Gen Z cultural fluency + crisis-aware wellness coaching—not clinical claims. This moat doesn't require regulatory approval to defend.

4. Using Best-in-Class Safety Infrastructure

By building on Claude (Anthropic), Crash Out Diary inherits Anthropic's constitutional AI safety work and ongoing model improvements. This is a feature, not a dependency—Anthropic invests billions in making Claude safe and helpful for sensitive conversations. Crash Out Diary benefits from that R&D without bearing the cost.

Regulatory Strategy Summary:

Woebot (What Failed)	Crash Out Diary (Our Approach)
Positioned as clinical therapy tool	Positioned as wellness coaching
Sought FDA Breakthrough designation	Operates in general wellness category (no FDA review required)
Rules-based chatbot architecture	LLM-native (Claude/Anthropic)
Moat: Clinical validation	Moat: Gen Z cultural fluency + safety-aware coaching
Had to prove "treats depression"	Helps users "maintain emotional wellness"

Positioning vs Crash Out Diary: Woebot's exit is a market opportunity, not a warning. Their clinical-first approach hit regulatory walls. Our wellness-first approach sidesteps those walls entirely while the underlying LLM technology (which they couldn't use) makes our product more capable than theirs ever was.

1.4 Youper

Business Model: Freemium B2C with B2B offerings for employers/payers.

Pricing: \$69.99/year (Youper Plus). 7-day free trial.

Target Audience: Adults with anxiety/depression. 3M+ users. Founded by psychiatrist.

Funding: \$5.18M total (Seed from Goodwater Capital)

Strengths:

- Clinically validated at Stanford (80% improved well-being)
- Multi-therapy approach: CBT, ACT, DBT, mindfulness
- Health device integration (Fitbit, Apple Health)
- PHQ-9/GAD-7 clinical assessments built-in

Weaknesses/Gaps:

- Relatively small funding (\$5M vs competitors with \$30-130M)
- Not Gen Z-focused or culturally specific
- Generic mental health positioning
- Limited crisis intervention differentiation

Positioning vs Crash Out Diary:

Direct competitor in AI mental health apps. Differentiation: clinical validation strength vs. cultural fluency and wellness coaching approach.

Acquisition Potential: MEDIUM. Could be acquired by larger player. Not likely acquirer of Crash Out Diary.

1.5 Sanvello (now Self Care by AbleTo)

Business Model: B2B2C through UnitedHealth. Transitioned to AbleTo platform January 2023.

Pricing: Free for UnitedHealthcare members. Consumer: \$8.99/month or \$53.99/year (legacy).

Target Audience: UnitedHealthcare members and their families (13+).

Status: APP DISCONTINUED Fall 2024. Merged into Self Care by AbleTo.

Key Insight:

Sanvello's absorption into AbleTo demonstrates how wellness incumbents integrate digital tools rather than build them. Validates acquisition strategy for startups with differentiated features.

Positioning vs Crash Out Diary: Non-competitor (discontinued). Case study in enterprise acquisition path.

Acquisition Potential: N/A. Already absorbed by UnitedHealth/AbleTo.

2. Adjacent Competitors

2.1 Character.AI

Deal Status: \$2.7B Google deal (August 2024). Founders + 20% staff joined Google. Company remains independent as employee co-op.

Business Model: Freemium consumer app. Abandoned LLM training to focus on consumer product.

Current Status: DOJ antitrust investigation ongoing (May 2025). Still operating independently.

Why Gen Z Uses It for Emotional Support:

- Create/interact with AI versions of fictional characters, celebrities, or custom personas
- 24/7 availability for emotional conversations
- Parasocial relationship dynamics—feels like talking to a friend
- No judgment, infinite patience

Gaps for Therapeutic Use:

- NO crisis intervention protocols—multiple teen suicide incidents linked to app
- No clinical backing or therapeutic framework
- Research shows heavy users report increased loneliness
- Entertainment-first, not wellness-first

Positioning vs Crash Out Diary:

Adjacent competitor. Character.AI validates Gen Z demand for AI emotional interaction. Crash Out Diary fills the safety/wellness gap they can't address due to entertainment positioning.

Acquisition Potential: N/A (Google relationship). Competitive validation only.

2.2 Finch

Business Model: Freemium B2C. Gamified self-care with virtual pet companion.

Pricing: Premium features available via subscription.

Revenue: ~\$4M/month (\$48M ARR run rate). Bootstrapped. Profitable.

Demographics: Recommended 12+. Popular with young adults, neurodivergent users, people with ADHD/anxiety.

Funding: NONE. Bootstrapped. Declined VC funding.

Why It Works:

- Gamification + daily companion model drives retention
- Best-in-class D30 retention (beats Duolingo, Calm, Headspace)
- Gentle, non-clinical approach appeals to younger users
- Low-pressure habit building

Why It's NOT Crisis Intervention:

- Self-care focus, not acute crisis support
- No clinical protocols or escalation pathways
- Gamification may not suit crisis moments

Positioning vs Crash Out Diary:

Adjacent competitor. Proves gamified wellness works for young users. Crash Out Diary adds crisis-aware coaching layer Finch lacks.

Acquisition Potential: LOW (bootstrapped, profitable, declined funding). Model validation only.

2.3 ChatGPT / Claude (General LLMs)

Usage Scale: 49% of LLM users with mental health issues use them for support. Potentially millions in US alone.

Market Context: ChatGPT may be larger than VA (1.7M patients) as mental health resource. 2-3% of all conversations are therapy-related.

Why People Use It:

- 24/7 availability, no scheduling required
- No judgment or stigma
- Free or low cost vs. \$150+/session therapy
- Immediate access—no waitlists

Gaps for Crisis Intervention:

- Brown University study: Systematically violate APA ethical standards
- Inconsistent responses to intermediate suicide risk questions
- Generic advice without clarifying questions
- No escalation protocols or crisis detection
- Research shows increased loneliness in heavy users

Positioning vs Crash Out Diary:

Not direct competitors—general-purpose tools. Their widespread use validates demand for AI emotional support. Crash Out Diary provides the safety layer, wellness framing, and Gen Z cultural fluency they lack.

Strategic Note on Claude:

Crash Out Diary uses Claude (Anthropic) as its underlying LLM. This is a feature: we inherit Anthropic's constitutional AI safety work and ongoing improvements. When Claude gets better at nuanced emotional conversations, our product automatically improves. We're not competing with Claude—we're building a specialized wellness coaching experience on top of it.

Acquisition Potential: N/A. Platform providers, not acquirers in this space.

Finch

Business Model: Freemium B2C. Gamified self-care with virtual pet companion.

Pricing: Premium subscription (price not publicly disclosed)

Revenue: ~\$4M/month (~\$48M ARR). iOS ~\$2M/month, Google Play ~\$900K/month. Ranked #7 on iOS Health & Fitness.

Funding: NONE. Bootstrapped. Profitable. Actively declined VC funding despite being "hounded by VCs."

Team: 1-10 employees. Founded 2021 by Stephanie Yuan and Nino Aquinas (Menlo Park).

Users: ~700K downloads/month combined (400K iOS, 300K Android)

Strengths:

- Best-in-class D30 retention (beats Duolingo, Calm, Headspace)
- Gamification that actually works—pet bird you care for by completing self-care tasks
- Profitable without VC pressure
- Mood tracking, habit tracking, journaling, breathing exercises wrapped in engaging UX

Weaknesses/Gaps:

- No crisis intervention or escalation pathways
- Self-care focus, not acute emotional support
- Gamification may feel trivializing during real crisis moments
- No AI conversation—structured activities, not free-form emotional support

Positioning vs Crash Out Diary: Adjacent. Proves gamified wellness crushes retention for young users. But Finch is task-completion (do your habits → pet grows), not conversation-based emotional support. Different modality entirely. Your Gen Z user might use both—Finch for daily habits, Crash Out Diary when they need to talk through something.

Acquisition Potential: LOW. Bootstrapped, profitable, actively rejecting investment. Not looking to sell or be acquired.

Tolan

Business Model: Freemium B2C. AI companion positioned as "alien best friend."

Pricing: \$50/year subscription for premium features

Target Audience: Teen girls and young women. Users explicitly describe it as "therapy replacement."

Funding: Unknown/not disclosed

Strengths:

- Brilliant positioning: Makes AI therapy feel as normal as having a pet. "Alien" framing removes clinical heaviness entirely.
- 24/7 availability for emotional conversations
- Privacy-focused
- Users report using it for things they won't tell friends/family
- Strong emotional attachment—users describe it as "healing"
- Sidesteps uncanny valley by not pretending to be human

Weaknesses/Gaps:

- No clinical backing or crisis protocols
- Recent monetization changes frustrated users (features behind paywall, social referral pressure)

- No FDA approval (no AI therapy apps have this)
- Not a substitute for actual medical intervention
- Unclear company stability/funding situation

Positioning vs Crash Out Diary: DIRECT COMPETITOR for Gen Z emotional support. Same demographic, similar use case (free-form emotional conversation). Key differences:

- Tolan = "alien friend" fantasy framing
- Crash Out Diary = wellness coaching framing with crisis awareness

Tolan validates your market—teen girls are already paying \$50/year for AI emotional support and explicitly calling it "therapy replacement." Your differentiation: safety-aware coaching that knows when to escalate, plus wellness (not fantasy) positioning.

Acquisition Potential: Unknown. Limited public info on company structure/investors.

Quick comparison for your deck:

	Finch	Tolan	Crash Out Diary
Core mechanic	Gamified tasks + pet	AI conversation + alien friend	AI conversation + wellness coach
Revenue	\$48M ARR	Unknown	TBD
Funding	Bootstrapped	Unknown	TBD
Crisis-aware	No	No	Yes
Gen Z cultural fit	High	High	High
Retention driver	Pet growth	Emotional attachment	TBD

Yana

Business Model: Freemium B2C. AI companion using CBT techniques. Primary focus on Spanish-speaking markets (Latin America).

Pricing: Freemium with premium subscription (price not disclosed)

Funding: \$1.8M total. \$315K initial (Hustle Fund, 500 Startups, Magma Partners), then \$1.5M led by ALLVP.

Users: 17M downloads, 2.3B messages exchanged. Founded 2016 by Andrea Campos (Mexico), pivoted to chatbot 2020.

Strengths:

- Massive scale in underserved Spanish-speaking market
- CBT-based approach with third-generation therapy techniques
- Founder story resonates (built from personal depression experience)
- Real-time AI responses, personalized coping strategies
- Recently announced US market expansion

Weaknesses/Gaps:

- Primarily Spanish-speaking focus—limited English market presence until now
- Small funding relative to scale (\$1.8M for 17M users = capital efficient but under-resourced)
- No crisis-specific protocols highlighted
- Entering US market late against established players

Positioning vs Crash Out Diary: Adjacent. Yana validates AI mental health at scale in a specific demographic (Spanish speakers). You're doing the same for Gen Z women in English-speaking markets. Different wedges, similar model. Their US expansion could create overlap, but they're playing catch-up on cultural fluency for American Gen Z.

Acquisition Potential: MEDIUM. Attractive acquisition target for larger player wanting LatAm expansion. Not an acquirer.

Manifest

Business Model: Freemium B2C. Gamified AI wellness—positions itself as "Gen Z's AI religion."

Pricing: Freemium with premium features

Funding: \$3.4M Series A (October 2024). Investors: Andreessen Horowitz, Soma Capital, Florida Funders, Transpose Platform.

Founder: Amy Wu (NYC, founded 2023)

Strengths:

- a16z backing at seed stage—signals strong investor conviction in Gen Z mental health
- "Infinite game" framing—gamifies wellness without making it feel trivial
- Bite-sized challenges and daily check-ins drive retention
- Explicitly built for Gen Z emotional resilience
- Strong narrative positioning ("AI religion" is memorable)

Weaknesses/Gaps:

- Early stage—limited public data on users/retention
- Gamification focus may not translate to acute crisis moments
- "Religion" framing could alienate some users or raise eyebrows with regulators
- No crisis intervention or escalation protocols mentioned

Positioning vs Crash Out Diary: DIRECT COMPETITOR. Same demographic (Gen Z), same thesis (AI for emotional support), same investor class (a16z-tier). Key differences:

- Manifest = gamified challenges, "infinite game"
- Crash Out Diary = conversational coaching, crisis-aware

You're competing for the same users and likely the same investors. Your differentiation: crisis awareness + wellness coaching framing vs. their gamification + "religion" framing.

Acquisition Potential: LOW (just raised, a16z backing means they're building to scale, not sell).

Slingshot AI / Ash

Business Model: Freemium B2C. AI therapy chatbot positioning as "foundation model for psychology."

Pricing: Free app (iOS/Android). Monetization model not yet clear.

Funding: \$93M total. \$30M seed led by a16z (August 2025), additional from Radical Ventures, Forerunner Ventures.

Founders: Neil Parikh (Casper co-founder, scaled to IPO), Daniel Cahn (AI engineer, crisis tech background)

Users: 50,000 beta users before July 2025 launch

Strengths:

- Massive funding (\$93M) and elite backers (a16z)
- Trained on "world's largest behavioral health dataset"
- Multi-therapy approach: CBT, DBT, ACT, psychodynamic, motivational interviewing
- Two-pass safety guardrail architecture
- Intentionally NOT building a "companion"—focused on real-world relationship building
- Sessions end when progress is made (anti-addiction design)

Weaknesses/Gaps:

- REGULATORY TROUBLE: Pulled out of UK January 2026 over medical device concerns
- First safety study raised questions—"little clinical proof" per STAT News
- "Therapy" positioning puts them in FDA/regulatory crosshairs
- Massive funding = massive expectations, pressure to show clinical outcomes

- Anti-companion stance may limit engagement vs. apps users love using

Positioning vs Crash Out Diary: Adjacent but cautionary tale. Slingshot is the "clinical therapy" version of what you're building. Their regulatory retreat validates your wellness coaching positioning. They have 50x your likely funding but also 50x the regulatory burden.

Key differences:

- Slingshot = "AI therapy," foundation model, clinical claims
- Crash Out Diary = wellness coaching, no clinical claims, built on Claude

Their UK pullout is your investor talking point: "This is why we position as wellness, not therapy."

Acquisition Potential: N/A. They're the ones doing the acquiring at this scale.

Brightn

Business Model: B2C. AI wellness platform with mood tracking and structured planning.

Pricing: Not disclosed

Funding: \$4.5M seed led by Felicis Ventures, with Anthemis, Exponential Ventures, SOSV.

Strengths:

- Strong VC syndicate (Felicis is top-tier)
- Combines AI support + mood tracking + structured planning (multi-modal approach)
- "Personalized mental wellness" positioning

Weaknesses/Gaps:

- Limited public information on users, retention, differentiation
- Generic positioning—"personalized wellness" doesn't carve a clear wedge
- No specific demographic focus mentioned
- No crisis intervention highlighted

Positioning vs Crash Out Diary: Adjacent. Brightn is going broad ("personalized wellness"), you're going narrow (Gen Z women + crisis awareness). Your wedge is sharper. They may end up competing for the same investors but not necessarily the same users.

Acquisition Potential: MEDIUM. Good VC backing but early. Could be acquired by larger wellness platform.

Feeling Great

Business Model: B2C. App with interactive courses + AI chatbot. Founded by psychiatrist.

Pricing: Not disclosed

Funding: \$8M seed. Co-led by Learn Capital and TitledTownTech. Participation from Lux Capital, Wavemaker Three-Sixty Health, Pacific Health Ventures, Treble Capital.

Founder: Co-founded by psychiatrist (clinical credibility)

Strengths:

- Psychiatrist founder = clinical legitimacy
- Two-part model: courses (structured learning) + chatbot (real-time support)
- Solid investor syndicate with healthcare focus
- Techniques to practice managing negative emotions

Weaknesses/Gaps:

- Clinical founder may lead to clinical positioning (regulatory risk)
- "Courses + chatbot" is less sticky than pure conversational AI
- No specific demographic focus
- No crisis intervention differentiation

Positioning vs Crash Out Diary: Adjacent. Feeling Great is more structured/educational, you're more conversational/coaching. Their clinical founder is a double-edged sword—credibility but also potential regulatory positioning issues. Different modality entirely.

Acquisition Potential: MEDIUM. Healthcare-focused investors suggest they may be building toward B2B2C or acquisition by health system.

Lotus (Talk to Lotus)

Business Model: B2C. AI therapist using CBT, neuroscience, and "neural self-integration" (NSI) model.

Pricing: Free tier available

Funding: Lotus Health AI raised \$5M (Kleiner Perkins, Azuro Capital, Lake Nona Fund). Note: May be different entity from "Talk to Lotus" consumer app.

Positioning: "AI Therapy for Gen Z"

Strengths:

- Explicitly targeting Gen Z
- Proprietary NSI model (differentiated AI approach)
- Kleiner Perkins backing (if same entity)
- CBT + neuroscience + ethics philosophy foundation

Weaknesses/Gaps:

- Confusing brand/entity structure (Lotus Health AI vs Talk to Lotus)
- "AI therapist" positioning = regulatory risk (same as Slingshot)
- Limited public data on users/traction
- "Therapy" framing, not wellness

Positioning vs Crash Out Diary: DIRECT COMPETITOR if targeting same Gen Z demo. Key difference: they're positioning as "AI therapy," you're positioning as "wellness coaching." Their regulatory exposure is higher.

Acquisition Potential: Unknown. Limited visibility into company structure.

Earkick

Business Model: Freemium B2C. AI mental health companion with biometric/sentiment analysis.

Pricing: Freemium. Projected ~\$1.1M ARR by mid-2025.

Funding: Running Wefunder campaign (community investment). No disclosed institutional rounds.

Strengths:

- Multimodal approach: voice sentiment analysis + physiological biomarkers
- Data-driven mental health tracking (not just conversation)
- Anonymous, no account required
- CBT and DBT principles built in

Weaknesses/Gaps:

- Small scale (no major institutional funding)
- Crowdfunding suggests difficulty raising traditional VC
- Biometric focus may limit accessibility (requires sensors/data)
- No specific demographic wedge

Positioning vs Crash Out Diary: Adjacent. Earkick is more "quantified self" (biometrics, sentiment analysis), you're more conversational coaching. Different modalities. They're not directly competing for your Gen Z women wedge.

Acquisition Potential: LOW. Crowdfunding path suggests they're not on typical acquisition radar.

Updated Competitive Matrix (Direct Competitors)

Company	Funding	Gen Z Focus	Crisis-Aware	Positioning	Regulatory Risk
Tolan	Unknown	High	No	"Alien friend"	Low (fantasy framing)
Manifest	\$3.4M (a16z)	High	No	"AI religion," gamified	Low (wellness)
Slingshot/Asht	\$93M (a16z)	Medium	Yes (guardrails)	"AI therapy"	HIGH (pulled from UK)
Yana	\$1.8M	Medium (LatAm)	No	CBT companion	Low (wellness)
Lotus	\$5M (KP)	High	Unknown	"AI therapy"	Medium-High
Brightn	\$4.5M (Felicis)	Low	No	Generic wellness	Low
Feeling Great	\$8M	Low	No	Courses + chatbot	Medium (clinical founder)
Earkick	Crowdfunding	Medium	No	Biometric tracking	Low
Crash Out Diary	TBD	HIGH	YES	Wellness coaching	LOW

Your clearest direct competitors: Manifest, Tolan, Lotus. All targeting Gen Z, all AI-powered, all recent/active.

Your differentiation from all of them: Crisis awareness + wellness (not therapy) positioning. None of them have both.

Your investor narrative: "Manifest got a16z at \$3.4M with gamified Gen Z wellness. Slingshot got \$93M but had to pull out of UK because they positioned as therapy. We're the crisis-aware version of Manifest with the regulatory safety of wellness positioning."

3. Therapy Platforms

3.1 BetterHelp

Business Model: B2C subscription therapy. Owned by Teladoc (acquired 2015 for \$4.5M).

Pricing: \$65-100/week (\$260-400/month). Cash-pay only until 2026 insurance expansion.

Availability: 24/7 messaging room. Scheduled video/phone sessions.

Revenue: \$1.03B (2024). DECLINING—down 11% Q1 2025, 9% Q2 2025.

Scale: 5M+ users, 34,000+ therapists

User Experience:

- Clinical, professional tone
- Human therapists—not AI
- Asynchronous messaging + scheduled sessions
- High friction (intake process, scheduling)

Acquisition History:

- Teladoc acquired UpLift (\$30M) in April 2025 to add insurance coverage
- Active M&A strategy to address BetterHelp decline

Positioning vs Crash Out Diary:

Non-competitor. Different model (human therapy vs. AI wellness coaching). High price point (\$260+/month) and clinical positioning don't serve Gen Z instant-access needs. Investors may ask about overlap—clarify: BetterHelp is scheduled human therapy, Crash Out Diary is instant AI wellness coaching.

Acquisition Potential: MEDIUM-HIGH. Teladoc actively acquiring. Could acquire Crash Out Diary to address younger demographic + AI capabilities.

3.2 Talkspace

Business Model: B2C subscription + B2B payor contracts. Publicly traded (NASDAQ: TALK).

Pricing: \$276-436/month. Insurance accepted (100M Americans covered).

Revenue: \$214.6M TTM (Q3 2025). Growing 25% YoY. Payor segment up 42%.

Stock: \$3.35 (Nov 2025). Market cap \$561M.

Differentiation from BetterHelp:

- Insurance coverage (BetterHelp is cash-pay)
- Psychiatry services (BetterHelp therapy only)
- Teen therapy offering
- AI investments: Acquired Wisdo Health (2025) for AI-powered peer support

Positioning vs Crash Out Diary:

Non-competitor. Human therapy platform. Their Wisdo acquisition signals interest in AI + peer support—could view Crash Out Diary as complementary acquisition.

Acquisition Potential: MEDIUM. Active acquirer (Wisdo). Could acquire for AI capabilities + Gen Z market.

3.3 Grow Therapy

Business Model: MSO (Managed Service Organization) marketplace. Empowers therapists to run private practices with insurance billing, scheduling, patient acquisition.

Pricing: Visits average <\$40 for patients (in-network). Revenue from insurance reimbursements.

Funding: \$178M total. Series C \$88M (April 2025) at \$1.4B valuation.

Scale: 17,000+ providers, 75+ payor partnerships, 3M+ patient encounters

Relevance:

- Represents infrastructure layer of therapy market
- AI tools for note-taking, matching—not AI therapy
- Could partner with AI tools for patient acquisition/triage

Positioning vs Crash Out Diary:

Non-competitor. Therapist enablement platform. Potential partnership opportunity for escalation pathways (AI wellness coaching → human therapist referral when appropriate).

Acquisition Potential: LOW as acquirer. Different business model. Partnership opportunity.

4. Wellness Incumbents

4.1 Headspace

Business Model: B2B2C subscription. Consumer app + enterprise partnerships.

Valuation: \$3B (2021 Ginger merger)

Revenue: \$750M ARR (Sept 2025)

IPO Status: Expected 2026 IPO candidate

Crisis Intervention Features:

- Columbia Suicide Severity Rating Scale implemented in-app
- Risk coaches for suicidal ideation
- Safety planning with care teams
- 24/7 coaching available through Ginger integration

AI Features (NEW 2025):

- Launched 'Ebb' AI companion for emotional support
- Direct-to-consumer therapy launched June 2025

Acquisition Strategy:

- Acquired Shine (2022)—mental wellness for diverse communities
- Acquired Sayana (2022)—AI mental health tracking
- Merged with Ginger (2021)—clinical therapy platform

Cultural Positioning:

Premium, professional, meditation-forward. Enterprise partnerships (U.S. Navy, Starbucks, Google). Not specifically Gen Z or culturally fluent—broader demographic.

Positioning vs Crash Out Diary:

BIGGEST THREAT. They have crisis protocols, just launched AI (Ebb), and are active acquirers. Differentiation: Crash Out Diary is Gen Z-native, wellness coaching-first. Headspace is meditation-first, enterprise-focused, broad demographic.

Acquisition Potential: HIGH. Active acquirer. Track record of buying startups for demographic expansion (Shine) and AI capabilities (Sayana). Logical acquirer for Gen Z market entry.

4.2 Calm

Business Model: B2C subscription + Calm Health B2B enterprise platform.

Valuation: \$2B (Series C 2020)

Revenue: Peaked ~\$500M during COVID. ~\$300M in 2023 (down 15%).

Pricing: \$70/year consumer. Enterprise custom pricing.

Key Features:

- Sleep Stories (140M listens, celebrity narrators)
- Meditation, breathing exercises, movement
- Calm Health: Clinical programs for anxiety, depression (CBT, DBT, ACT)

Acquisition History:

- Acquired Ripple Health Group (2022)—healthcare technology for clinical expansion

Cultural Positioning:

Premium, aspirational, celebrity-driven (Harry Styles, LeBron James). Sleep-focused. Not crisis intervention. Not specifically Gen Z.

Positioning vs Crash Out Diary:

Non-competitor. Different use case (sleep/meditation vs. crisis-aware wellness coaching). Revenue decline suggests market saturation in wellness-only positioning.

Acquisition Potential: MEDIUM. Has acquired for clinical expansion. Could acquire for AI + crisis capabilities to differentiate from Headspace.

4.3 Aura Health

Business Model: Freemium B2C subscription. Content marketplace model—13,000+ wellness tracks created by 30,000+ coaches/therapists. "Spotify of mindfulness."

Pricing: Free tier + Premium subscription (pricing not publicly disclosed, but positioned as "fraction of the price" vs. therapy/coaching)

Funding: \$7.4M total. Investors: Cowboy Ventures, Mana Ventures, Reach Capital, Berkeley SkyDeck. Last raise January 2020. Also ran community investment rounds (Dealmaker Securities 2023, 2024).

Valuation: \$60M

Revenue: \$25M lifetime revenue. ~\$7M annual revenue (43% YoY growth). 100K+ paying subscribers.

Users: 8M+ total users. 30,000+ five-star reviews.

Founders: Daniel Lee and Steve Lee (Forbes 30 Under 30). Founded 2017, San Francisco.

Strengths:

- AI-driven personalization—matches content to mood, goals, past behavior
- Massive content library (13,000+ tracks) from large creator community
- Named #1 New App by Apple
- Multi-modal: meditation, sleep stories, hypnosis, coaching, therapy, prayer, ASMR, breathwork, music
- Live sessions with coaches/therapists + community features
- Solid unit economics (100K paying subs, \$7M ARR, 43% growth)
- Plans to integrate with wearables

Weaknesses/Gaps:

- Content consumption model, not conversational AI—you listen, you don't talk back

- Last institutional funding was 2020 (5+ years ago)—suggests either profitable/bootstrapping or difficulty raising
- Crowdfunding rounds (2023, 2024) indicate may not be VC-attractive at current stage
- No crisis intervention or escalation protocols
- Not specifically Gen Z-focused—broad "mental wellness and sleep" positioning
- Competes directly with Calm/Headspace on their turf (content library)

Positioning vs Crash Out Diary: NOT a direct competitor. Different modality entirely:

- Aura = passive content consumption (listen to meditations, sleep stories)
- Crash Out Diary = active conversational AI (talk through your feelings)

Aura is closer to Calm/Headspace than to you. Users might use both—Aura for sleep/meditation habits, Crash Out Diary when they need to process something in the moment.

Why it matters for your pitch: Aura shows you can build a real business (\$7M ARR, 100K paying subs) in wellness without massive VC funding (\$7.4M total). But their model (content library) is being disrupted by conversational AI. They're the "old model"—you're the new one.

Acquisition Potential: MEDIUM. Could be acquired by Calm/Headspace for content library and subscriber base. Not an acquirer. Their crowdfunding suggests they may be open to exit.

How Aura fits your competitive narrative:

Aura validates that AI personalization in wellness works and that you can build a subscription business without Calm/Headspace-level funding. But they're content-first (passive listening), not conversation-first (active engagement). The future is conversational—that's your wedge.

5. Competitive Comparison Matrix

Competitor	Crisis	Daily Coach	Gen Z Fluency	24/7	Gamified	Price/mo	Clinical	B2B
Replika	No	Yes	Medium	Yes	No	\$20	No	No
Wysa	Limited	Yes	Low	Yes	No	\$6	Yes	Yes
Woebot	N/A*	N/A*	Low	N/A*	No	B2B only	Yes	Only
Youper	Limited	Yes	Low	Yes	No	\$6	Yes	Yes
Character.AI	No	Yes	High	Yes	Yes	Free+	No	No
Finch	No	Yes	High	Yes	Yes	~\$8	No	No
Headspace	Yes	Yes	Medium	Yes	No	\$13	Yes	Yes
Calm	No	Limited	Medium	Yes	No	\$6	Yes	Yes
BetterHelp	Human	Human	Low	Async	No	\$260+	Yes	No
Crash Out Diary	YES	YES	HIGH	YES	TBD	TBD	No**	TBD

*Woebot shut down consumer app June 2025. **Wellness coaching positioning—intentionally non-clinical.

Updated Competitive Comparison Matrix

Competitor	Crisis	Daily Coach	Gen Z Fluency	24/7	Gamified	Price/mo	Clinical	B2B
Replika	No	Yes	Medium	Yes	No	\$20	No	No
Wysa	Limited	Yes	Low	Yes	No	\$6	Yes	Yes
Woebot	N/A*	N/A*	Low	N/A*	No	B2B only	Yes	Only
Youper	Limited	Yes	Low	Yes	No	\$6	Yes	Yes
Character.AI	No	Yes	High	Yes	Yes	Free+	No	No
Finch	No	Yes	High	Yes	Yes	~\$8	No	No
Tolan	No	Yes	High	Yes	No	~\$9	No	No
Headspace	Yes	Yes	Medium	Yes	No	\$13	Yes	Yes
Crash Out Diary	YES	YES	HIGH	YES	TBD	TBD	No**	TBD

*Woebot shut down consumer app June 2025. **Wellness coaching positioning—intentionally non-clinical.

What this shows investors: The only players with High Gen Z Fluency (Character.AI, Finch, Tolan) have zero crisis awareness. The players with crisis protocols (Headspace, Wysa) have Low-Medium Gen Z fluency and clinical positioning. You're the only one combining both.

6. Strategic Questions Answered

Q1: Who owns 'AI emotional support for Gen Z women'?

NOBODY. The market is fragmented:

- Character.AI has Gen Z engagement but no therapeutic framework or safety protocols
- Finch has gamification and young users but is self-care, not crisis-aware
- Wysa/Woebot have clinical backing but target broad demographics with clinical tone
- Headspace just launched AI (Ebb) but is meditation-first, not crisis-first

This is the white space: AI-native wellness coaching + crisis awareness with Gen Z cultural fluency.

Q2: Who's raised the most recently?

Recent major rounds:

- Grow Therapy: \$88M Series C (April 2025) at \$1.4B valuation
- Wysa: \$20M Series B (2022) + two acquisitions (2025)
- Woebot: \$90M Series B (from Temasek)—but note: consumer app shut down
- Character.AI: \$2.7B Google deal (2024)

Investor appetite remains strong for mental health tech, particularly AI-enabled solutions. The Woebot shutdown hasn't chilled the market—it's redirected focus from clinical to wellness positioning.

Q3: What's the biggest threat?

HEADSPACE is the biggest threat. They have:

- Crisis intervention protocols already in place (Columbia Suicide Severity Rating Scale)
- Just launched AI companion (Ebb) in 2025
- Active acquisition strategy (Shine, Sayana, Ginger)
- \$750M ARR and path to IPO
- Enterprise distribution (could add Gen Z features quickly)

Mitigation: Headspace is meditation-first, enterprise-focused. Building Gen Z cultural fluency from scratch is hard. Crash Out Diary can move faster in the wedge. Also: their Ebb AI is additive to meditation, not core—our AI IS the product.

Q4: What's the white space?

The unique positioning Crash Out Diary can own:

- Wellness coaching-first (not clinical—avoids Woebot's regulatory trap)
- Gen Z women specifically (not broad demographics)
- Cultural fluency + safety awareness (not one or the other)
- LLM-native architecture (Claude)—improves as the model improves

No competitor combines all four. Character.AI has cultural fluency without safety. Wysa has clinical backing without Gen Z focus. Headspace has crisis protocols without Gen Z-native positioning. Woebot tried clinical-first and hit regulatory walls.

Q5: Acquirer landscape

Active acquirers with track records:

Acquirer	Recent Acquisitions	Why Crash Out Diary Fits
Headspace	Shine, Sayana, Ginger	Gen Z market entry + AI wellness capabilities
Teladoc	UpLift (\$30M), BetterHelp	Younger demographic + AI to offset BetterHelp decline
Talkspace	Wisdo Health	AI capabilities + Gen Z acquisition
Wysa	April Health, Kins	Gen Z market + consumer brand
Google/Alphabet	Character.AI (\$2.7B)	Therapeutic AI to complement Character.AI
Calm	Ripple Health Group	Crisis/AI capabilities to compete with Headspace

7. Regulatory Strategy: Why We're Not Woebot

The FDA Wellness vs. Clinical Distinction

Under FDA guidance (updated January 6, 2026), a mobile app becomes a regulated medical device when it claims to diagnose, treat, cure, mitigate, or prevent a disease or condition. General wellness products—those intended to maintain or encourage a general state of health—are NOT subject to FDA device regulation.

Crash Out Diary's Positioning:

- Wellness coaching—not therapy, diagnosis, or treatment
- Helps users "maintain emotional wellness"—not "treats depression"
- Supports healthy coping—not prescribes clinical interventions
- Crisis-aware (knows when to suggest professional help)—not crisis treatment

This is not a dodge—it's accurate positioning. The product genuinely is wellness coaching, not clinical treatment. The distinction protects the business AND accurately describes what the product does.

Language Guidelines

AVOID (Clinical Claims)	USE (Wellness Language)
Treats anxiety/depression	Supports emotional wellness
Diagnoses mental health conditions	Helps you understand your feelings
Therapy/therapeutic intervention	Wellness coaching/emotional support
Clinically proven to reduce symptoms	Designed to help you feel supported
Mental health treatment	Emotional wellness tool

Why Building on Claude Strengthens This Position

By using Claude (Anthropic) as the underlying LLM, Crash Out Diary inherits several strategic advantages:

- Anthropic's constitutional AI safety work—billions invested in making Claude safe for sensitive conversations
- Ongoing model improvements—when Claude gets better at emotional nuance, our product automatically benefits
- No proprietary model risk—Woebot's rules-based system couldn't evolve. We scale with the technology.
- Clear separation of concerns—Anthropic handles model safety, we handle product experience and Gen Z cultural fluency

This is a feature, not a dependency. We're not building a model—we're building an experience layer on top of best-in-class infrastructure.

Appendix: Data Sources & Notes

All data current as of January 2026 unless otherwise noted. Revenue and funding figures from Crunchbase, PitchBook, Tracxn, Sensor Tower, and company announcements. Some revenue estimates are third-party approximations.

Key Data Caveats:

- Finch revenue (\$48M ARR) is estimated from Sensor Tower data, not official disclosure
- Replika revenue estimates vary significantly by source (\$14M-\$25M range)
- Woebot shut down consumer app June 2025—all consumer positioning is historical
- Character.AI \$2.7B was licensing + talent deal, not traditional acquisition
- Headspace \$750M ARR is Sept 2025 estimate; \$348M was 2024 reported
- FDA wellness guidance updated January 6, 2026—confirms wellness positioning viability

Relevant Raises

Recent Seed/Early-Stage Raises in AI Mental Health (2025)

Smaller players like Yana:

Company	Round	Amount	Lead Investors	Focus
Yana	Seed	\$1.8M total	ALLVP, Hustle Fund, 500 Startups, Magma	Spanish-speaking markets, CBT-based AI, 17M downloads
Manifest	Series A	\$3.4M	a16z, Soma Capital, Florida Funders	Gen Z wellness, gamified "infinite game" approach
Brightn	Seed	\$4.5M	Felicis Ventures, Anthemis, SOSV	AI wellness + mood tracking + structured planning
Lotus Health AI	Seed	\$5M	Kleiner Perkins, Azuro Capital, Lake Nona Fund	AI-powered (founded 2024)
Feeling Great	Seed	\$8M	Learn Capital, TitledTownTech, Lux Capital	CBT app + chatbot, founded by psychiatrist
Manatee	Seed	\$5M	(not specified)	Family/child mental health

Bigger recent raises (for context on where the market is going):

Company	Round	Amount	Lead	Note
---------	-------	--------	------	------

Slingshot AI	Seed→Series A	\$93M total	a16z	"Foundation model for psychology." Pulled out of UK Jan 2026 over regulatory concerns.
Amae Health	Series B	\$25M	Altos Ventures	Severe mental illness (SMI), not consumer wellness
Grow Therapy	Series C	\$88M	(not specified)	Therapist marketplace, \$1.4B valuation

On Yana specifically: Their Hustle Fund investment was from the earlier round (~2021), not 2025. Total raised is \$1.8M. They've scaled to 17M downloads targeting Spanish-speaking markets. Interesting comp for you—similar stage, similar "AI companion" positioning, but different geographic focus.

Most relevant comp for your fundraise: Manifest (\$3.4M from a16z). They're explicitly targeting Gen Z, use gamification ("infinite game" framing), and got Andreessen Horowitz at seed. Their founder Amy Wu positioned it as "Gen Z's AI religion." Same investor thesis you're pitching.

Warning sign to watch: Slingshot raised \$93M, launched in July 2025, and already pulled out of UK in January 2026 over medical device regulations. They're positioning as "therapy"—you're positioning as "wellness coaching." Their regulatory problems validate your approach.

The Reverse Engineer Fundraise

Goal: Confidently be able to say, This is what the vision is worth and why I'm raising X.

Step 1A — The "Is this a venture business?" test.

We have multiple models we're testing:

- Consumer: Subscription (\$7.99/month or \$39.99/year)
- Schools: Service-enabled (workshops) + subscription (per-student licensing)
- Universities: Subscription (institutional licensing per student)
- Therapists: Subscription (monthly access or per-client seat)

For the piloting we'll go with business model type: Subscription and licensing

My revenue formula (one sentence): Yearly revenue = (# of institutions × average licensing revenue per institution) + (# of individual subscribers × average subscription price)

Which parts of this formula do I control most? Consumer subscribers (proven ability to drive through content/marketing with 60K users organically) and institutions second (active DC schools pilot, HBCU connections, ability to sell workshops + licensing)

Step 1B - what it takes to reach your target outcome

What revenue target enables your desired outcome (acquisition + dividend payback)?

- **Acquisition-ready revenue:** \$1M-\$3M ARR makes you attractive to BetterHelp/Talkspace/Grow Therapy/Anthropic
- **Dividend payback viable:** \$360K-\$600K/year (\$30K-\$50K/month) enables paying back angels

Your target: \$1M ARR within 24-36 months (enables both acquisition and dividend payback)

What number of "units" (paying customers) do you need to hit \$1M/year?

Let me help you solve this:

- Consumer: 25,000 subscribers at \$40/year = \$1M
- Schools: 100 schools at \$10K/year = \$1M
- Blend: 50 schools (\$500K) + 12,500 consumers (\$500K) = \$1M

This Year's Mission

THE PROBLEM

Young women (16-25) are experiencing emotional crises in real-time; spiraling into shame, feeling invisible, carrying heavy emotional load with nowhere safe to release them. They're already turning to technology for relief (doom scrolling, venting to ChatGPT, crying on close friends stories), but nothing meets them in the moment they're dysregulated and actively helps them regulate.

Why Existing Solutions Fail:

Traditional therapy requires planning ahead, booking appointments, and showing up calm. But emotional crises don't work on appointment schedules. When you're spiraling at 2am or about to make a destructive choice at work, therapy isn't available.

Wellness apps like Calm and Headspace are built for people who are already proactive about their mental health. They require you to think ahead, plan your meditation, set aside time. When you're in crisis, you're not thinking about opening a meditation app.

Social media venting offers no privacy, breeds performative vulnerability, and provides zero tools for actual regulation. It just gives the user validation that fades as soon as you close the app.

The Core Gap:

There is no accessible, immediate support system that meets young women in their most dysregulated moments and redirects that emotional energy toward lasting growth.

THE SOLUTION: CRASH OUT DIARY

Crash Out Diary is the emotional operating system for young women who need mental health support that works how life actually works, reactive in crisis, proactive in growth.

How It Works:

Every user gets a personalized agent—their wellness sergeant.

Your always-on companion that learns your patterns, remembers your triggers, holds your context, and actively guides you toward regulation. Your agent becomes your ride-or-die that points you in the right direction with live recommendations tailored to you.

Real-time crisis intervention when you need it most.

When you're about to spiral or make a destructive choice, Crash Out Diary redirects that energy through:

- **The Crash Out Ritual:** A structured pathway (vent → pep talk → interactive exercise → reward) that turns emotional release into regulation practice
- **Voice-first journaling:** Guide journaling with prompts tailored to you.
- **Culturally rooted wellness mini-games:** Rituals wrapped in culture and language that resonate. Not meditation for people who already meditate—tools like "Fuck You Meditation" (that curses while it calms), tapping exercises, and breathing games disguised as play.

Pattern recognition that unlocks self-actualization .

After 10 journal entries, you unlock your **Insight Report**—your "Spotify Wrapped for the mind." A personalized wellness report that shows you patterns you couldn't see yourself. What triggers you. When you crash out most. What language you use when spiraling vs. regulated.

Your agent uses this intelligence to make proactive recommendations: *"You usually feel overwhelmed on Sunday nights around 9pm. Want to do a check-in ritual before that window?"*

Gamified engagement through Glow Points.

Users earn Glow Points through journaling, completing mini-games, and consistent engagement. Glow Points unlock new mini-games in the library and can be used on the Crash Wall to send flowers and support to other users aiming to create community validation without toxic social media dynamics.

Community validation without the toxicity.

The Crash Wall lets you share crash outs anonymously when you need to be seen but 96.6% of our users keep their vents private. We respect that emotional crises aren't always for public consumption.

We're Not Creating a New Behavior—We're Packaging Existing Ones

Young women already:

- Crash out and need somewhere safe to process it (reactive behavior)
- Try different wellness techniques and experiment with what works (proactive behavior)
- Journal or want to journal but struggle with consistency
- Seek tools to understand and improve themselves

Crash Out Diary packages all of this into one place, in their language, And because it's in their language, it lowers the barrier for them to be able to learn a new method

The Behavioral Hook: Daily Conversation with Your Agent

The repeating behavior we're building is simple: **talk to your agent every day.** Everything else branches from that core loop.

- Need to crash out? Your agent walks you through the ritual.
- Want to journal? Your agent prompts you with the right questions.
- Feeling stuck? Your agent recommends a mini-game that fits your mood.
- Hit 10 journals? Your agent shows you your Insight Report and what it means.

Why This Matters

Mastering how you crash out and how you react to life stress is what stands between you and the life you really want—the life you don't think you deserve or can get. Emotional regulation helps us build resilience and have a container that can hold and receive us. Crash Out Diary gives you that container, accessible 24/7, in your pocket.

PROVEN NEED

We have 26,000+ crash out messages proving people need this kind of support.

What the data shows:

- **43.8%** of emotional crises are about romantic relationships (love spirals, breakups, ghosting, toxic patterns)
- **47%** are about general life stress (school pressure, body image, friendship issues, financial anxiety, everyday overwhelm)
- **9.2%** are work and career burnout
- **29.8%** of messages contain profanity or intense language—people come to us in high emotional arousal states
- Only **3.4%** of crash outs are shared publicly; the rest stay private

- **Peak usage is 10-11pm**—when people are alone with their thoughts and traditional support systems aren't available
- Some users have crashed out **21 times**; the average is 2.6 times per user. **People come back.** They're building a habit around emotional regulation.

Top AI personas? **Chaos Twin (24.7%), Boy Best Friend (22.4%), Big Sis (14.3%).** High-energy, intense support wins over calm, zen approaches. People want validation that matches their emotional intensity.

WHAT MAKES US DIFFERENT

Reactive Crisis Intervention, Proactive Growth Tools

We meet you in crisis when you're already spiraling, then guide you toward lasting practices through your personalized agent and wellness rituals.

Accessible Language, No Gatekeeping

No therapy-speak. No meditation jargon. Raw empathy, big-sis energy, culturally fluent language that resonates with how young women actually talk.

Self-Discovery Over Self-Improvement

You don't journal because it's "good for you." You journal to unlock intelligence about yourself. The Insight Report makes emotional regulation instrumental, not homework.

Privacy When It Matters

Safe space to process without performing for social media. Your most vulnerable moments stay yours unless you choose to share them.

Rituals Over Routines

Mini-games you actually want to engage with. Scrollable, playful, culturally rooted. Emotional regulation disguised as something you'd choose to do anyway.

Safety First

We're implementing critical safety features including emergency contact functionality, chat monitoring for specific keywords that trigger alerts, and complete privacy and anonymization for when people vent in workflows. This isn't

something we're waiting on—safety is happening now because we're committed to being a safe space.

WHY NOW

Mental health is in crisis for Gen Z. Therapy waitlists are months long. Costs are prohibitive. Traditional models can't scale to meet demand. Meanwhile, young women are already turning to technology for emotional support—they're just not getting tools that actually help them regulate.

Crash Out Diary bridges the gap between reactive crisis and proactive wellness. We're not replacing therapy. We're providing the immediate, accessible support system that exists in the space between "I'm fine" and "I need professional help"—the space where most young women live most of the time.

This is the moment to build emotional regulation infrastructure for the generation that needs it most.

Crash Out Diary: Self-care when you need it the most.

Roadmap

THE PRODUCT ROADMAP

Phase I: Foundation (Current State)

Core Features:

- Crash Out Ritual (vent → pep talk → exercise → reward)
- Basic companion chat
- Voice and text journaling
- Mini-games library (screaming game, breathing exercises)
- Crash Wall for community validation
- Glow Points economy (earn through engagement, unlock mini-games, send support on Crash Wall)

Revenue: Free

Phase II: Personalized Intelligence (Q1 2026 / 2-6 Weeks)

Core Features:

- Personal agent with memory and context: Learns your patterns, holds your history, makes live recommendations
- Insight Report unlocked after 7 journal entries: "Spotify Wrap for the mind"—personalized wellness report showing triggers, patterns, emotional language, and regulation progress
- Onboarding that sets goals: Users define what they want (reduce crash outs, journal more, feel less stressed) and the home screen reflects their journey
- Voice-first everything: Seamless voice journaling and voice interaction with agent
- Proactive check-ins: Agent prompts you before known trigger windows (e.g., Sunday 9pm when you usually spiral)
- Expanded mini-games library: Reframing games, Havening exercises, fear-facing rituals where users can burn and release things

Safety & Infrastructure:

- Safety features research and planning

- B2B backend research (therapist dashboard vs school admin portal decision)

Revenue: Yearly subscription push, DC school pilot

Phase III: Scalable Wellness Platform (Q3 2026)

Core Features:

- Scrollable wellness mini-games: Like TikTok but for regulation tools—swipe through techniques until you find what works in the moment
- Customizable ritual workflows: We believe users will want to build their own emotional regulation workflows for specific situations—when they're doom scrolling, when work is overwhelming, when they fail an important test. Mini-games become building blocks users can arrange into personalized rituals.
- Shareable workflows: "Crash out with me" community feature where users can share their custom workflows with others
- Deeper agent capabilities: More sophisticated pattern analysis, enhanced recommendations, potential integration with wearables for biometric triggers
- Enhanced community features: Group challenges, accountability partnerships, wellness circles
- Recommendation system for therapist/wellness products

Safety Features Implementation:

- Monitoring agent that monitors certain keywords and triggers
- Emergency contact system
- Series of escalations, checkpoints, and alternatives

Compliance Initiation:

- HIPAA compliance research complete, gap analysis, audit process begins
- SOC 2 Type I audit preparation and engagement
- COPPA/FERPA requirements assessment

B2B Backend Launch:

- Dashboard goes live for chosen customer segment (therapist or school admin)
- User data visualization and reporting
- Admin controls and privacy settings

Revenue: Yearly subscription, DC school pilot continuation, additional school pilots in new regions

Phase IV: Platform Maturity & Scale (Q4 2026)

Compliance Execution:

- Active HIPAA compliance implementation
- SOC 2 audit in progress
- Data handling and privacy infrastructure hardening

Product Optimization:

- Platform stability and performance improvements
- Advanced personalization based on full year of user data
- Safety features iteration and refinement
- Community moderation tools enhancement

B2B Expansion:

- Scale existing B2B partnerships
- Potential launch of second B2B customer segment dashboard

Revenue: Yearly subscription, school pilots across multiple regions, B2B revenue stream validation

Crash Out Diary 1 Pager

CRASH OUT DIARY

MISSION

We meet people where they are in their messiest moments, and have their back.

Crash Out Diary exists to be a resource when people don't have anything else. We build technology that resonates with emotion and allows people to shift, cut through the veil that makes them see themselves as less than, not good enough, undeserving of—because deep down, all of that is untrue.

VISION

To build tools that increase inner resilience towards things that tear people down—shame, disappointment, fear, rejection—and help them get the confidence they need to perform the way they want to in real life.

THE PROBLEM

Young women (16-25) are experiencing emotional crises in real-time—spiraling into shame, feeling invisible, carrying emotional bottlenecks with nowhere safe to release them. They're already turning to technology for relief (doom scrolling, venting to ChatGPT, crying on close friends stories), but nothing meets them in the moment they're dysregulated and actively helps them regulate.

Traditional therapy requires planning ahead and showing up calm. Emotional crises don't work on appointment schedules.

Wellness apps are built for people already proactive about mental health. When you're in crisis, you're not thinking about opening a meditation app.

Social media venting offers no privacy, breeds performative vulnerability, and provides zero tools for actual regulation.

The Core Gap: No accessible, immediate support system meets young women in their most dysregulated moments and redirects that emotional energy toward lasting growth. When you need help most, traditional resources aren't available.

WHERE WE'RE GOING

Immediate: Emotional Regulation Tool + Companion

An emotional regulation tool and companion that performs as a coach. A library of micro-interventions—wellness mini-games designed with culture and fun in mind because you always can crash out, and we'll be there when you do. Tapping, screaming, crash-out-specific meditations that curse and validate, havening, affirmations, reframing, journaling.

Near Future: Your Second Brain of Wellness

A gamified experience that makes you want to check in, building a knowledge base you can take with you—to your therapist, to your next chapter, wherever you go. Not a one-off tool like meditation apps that require you to already want to meditate. We take you through a transformation because life be lifing, and when it does, we're already there.

We empower your village: therapist, coach, or counselor. Right now, they only get the version of you that performs in therapy. You perform less with AI—it gives a more candid view. Based on consent, your village accesses your activity data: what tools you're using, what's working, what's not. Therapists can white-label the product or recommend Crash Out Diary to clients and access shared data through our platform.

Long-Term: Biometrics + Data Ownership

Connected to wearable tech—mood rings, Aura rings, heart rate monitors. Cross-reference biometric data with crash outs to understand how emotional stress impacts you at a cellular level. The wearable detects elevated heart rate, disrupted sleep—the app responds, pings you, intervenes before the crash out happens. Your data belongs to you. If researchers, universities, pharmaceutical companies, or insurance companies want access to understand Gen Z mental health patterns, they pay you. Opt-in, blockchain-protected, anonymized.

WHAT WE'RE BUILDING

For Consumers (Active Traction)

A companion that doesn't judge you, validates your mess, gives you tools in the moment you need them, not when you've already calmed down. We have 60,000+ users and paying subscribers. This is our core product and primary focus.

For Therapists, Universities, Researchers (Validation Phase)

We're being disciplined about unit economics before scaling B2B. Q1 and Q2 2025 are dedicated to customer discovery and pilot programs to understand CAC, LTV, and calculate accurate unit economics for each channel.

Therapists: A product that makes them better practitioners. More patient insights, better session prep, agents they can talk to about their clients. One therapist equals five clients equals five seats. Currently interviewing therapists to validate pricing and integration needs.

Universities: A retention play. Data on why students are dropping out. Proof that emotional regulation tools keep students enrolled and graduating. Piloting with DCPS and interviewing counseling programs at HBCUs and state schools.

Researchers/Pharma/Insurance: A future data asset. Anonymized, consented, ethical data on what actually works for emotional regulation at scale. This channel activates once we have sufficient data volume and the infrastructure to support it.

PROVEN NEED

60,000+ users. 26,000+ crash out messages proving people need this kind of support.

43.8% of crises: romantic relationships (love spirals, breakups, ghosting, toxic patterns)

47%: general life stress (school, body image, friendships, financial anxiety)

9.2%: work and career burnout

Peak usage: 10-11pm, when people are alone and traditional support isn't available

Users return 2x, 5x, 10x, 21x. Average 2.6 crash outs per user. People come back.

Top AI personas: Chaos Twin (24.7%), Boy Best Friend (22.4%), Big Sis (14.3%). High-energy support wins.

WHY NOW

Gen Z and Gen Alpha are growing up AI-native. They're already using ChatGPT to vent. They're learning emotional regulation from TikTok instead of their parents. They're performing in therapy before they even know what authenticity looks like.

If we can reach them now—in high school and college, when they're being molded the most—we can teach them emotional regulation the world didn't teach them. We can give them tools that meet them where they are, in their messiest moments.

Start with Gen Z. High schools. Colleges. One generation. One clear focus. Solve the problem completely for them first. Then scale.

Crash Out Diary: We meet you in your messiest moments and have your back.

Launch (old)

CRASH OUT DIARY LAUNCH CAMPAIGN FRAMEWORK

"Welcome to My Crash Out Diary" Campaign

Campaign Theme/Concept

"Welcome to My Crash Out Diary"

This is the overarching campaign vibe for the entire launch - content series, emails, ads, ambassador content, community messaging. Everyone who participates in the campaign says "Welcome to MY crash out diary" - making it personal, possessive, and invitational.

Campaign Positioning:

Founder-led but community-amplified - You lead with your daily diary series, but ambassadors and community members create their own "Welcome to My Crash Out Diary" content

Personal invitation to transformation - Each person invites others into THEIR journey from chaos to regulation

Serialized storytelling format - Daily/regular check-ins that people can follow and relate to

Hook Format (Used by you, ambassadors, and community):

"Welcome to my crash out diary. I'm [age], [situation], feeling [emotion]. I'm giving myself [timeframe] to [transformation goal]. This is day [X]."

Why This Works:

Scalable - Anyone can make their own "crash out diary" content

Relatable - Gen Z loves first-person vulnerability and daily series

Shareable - Creates a format that spreads organically

Product-aligned - The app IS your crash out diary, so the campaign theme = product experience

Core Narrative

Everyone's crashing out, but nobody talks about it until it's too late. Gen Z women already cry online, text their exes at 2am, and spiral into shame when emotions get intense. But crash outs aren't failures - they're unprocessed emotions looking for a way out.

Welcome to My Crash Out Diary flips it: your messiest moments become your healing practice. It's an AI-powered emotional wellness app that meets you in real-time when you're spiraling - no therapy waitlists, no toxic positivity, just instant support when you need it most. Where crash outs become soft landings, and emotional chaos becomes regulated nervous systems.

Content Pillars

1. Welcome to My Crash Out Diary (Daily Series)

Personal

Your daily check-ins and crash out moments - founder journey

Behind-the-scenes of building the app during your own regulation journey

Personal crash out stories

2. Product Education

How the app works during crash out moments
AI persona demonstrations
Feature walkthroughs and benefits
Before/after using the app during crisis moments

3. Emotional Regulation Education

Why we crash out (nervous system science made simple)
What is crashing out
ETF tapping
Guided journals prompts
Tools and techniques for real-time regulation
Educational content about dysregulation → regulation
Science-backed but accessible explanations

4. Community

Crash wall reads
Read crash outs from reddit
✉️ Got a story? Send it my way—your secret's safe 🙊
👁️ Wanna see your story out there without anyone knowing it's YOU?
Shhh... your story, my platform. Nobody will know it's you, but everyone will be entertained 🍷

Waitlist amplifies social proof and urgency, driving higher conversion rates

Waitlist Amplification Strategy

Tier 1: Auto-Add Existing Users (5,559 emails)

Automatically add to "priority access" waitlist
Email: "You're already on the VIP list for early access"
Creates immediate waitlist base of 5.5K+ people

Tier 2: New Audience Acquisition (5,000+ signups)

Organic social content driving waitlist signups
Ambassador referral campaigns
Community partnerships for waitlist growth

Tier 3: Launch Access Structure

Core users (1,421): Immediate access on launch day
Email list (5,559): 24-48 hour early access window
New waitlist: General launch access with founder pricing

Channels & Strategy

Founder Marketing Channels (X, LinkedIn)

Target Audience: Angel investors, potential team members, other founders
Purpose: Attracting investors, recruiting team members, establishing thought leadership
Content Strategy:

Builder updates and product development journey
"Day X of my crash out diary" founder series
Team building and hiring narratives
Emotional wellness + tech intersection hot takes
Investor/advisor recruitment content
Fundraising journey and milestones

Cadence: 1-2 posts daily across platforms

User Acquisition Channels (TikTok, IG, Threads)

Target Audience: Gen Z women (18-26), emotionally overwhelmed, therapy-curious, existing 40K users
+ new audience
Purpose: Converting existing audience, attracting new users, driving waitlist signups
Content Strategy:

"Welcome to My Crash Out Diary" daily series (main pillar)
Short-form emotional regulation education
In-the-moment crash out content
Product demos and app walkthroughs
Ambassador amplification and UGC
Crash Out Nikki distribution

Cadence: 3-5 posts daily across platforms, going live weekly on TikTok

Email Marketing

Target Audience: 5,559 existing emails (Tier 1: 1,421 core users, Tier 2: remaining 4,138), new waitlist signups
Purpose: Re-engaging existing users, converting to paid, waitlist management

Content Strategy:

Weekly journey updates to full list

Tier-based messaging (core users vs. email list vs. new waitlist)

Founding member exclusivity and urgency

Product education and value demonstration

Cadence: 1 email weekly, daily during launch countdown

Community Partnerships

Target Audience: Women in tech communities, wellness communities, college mental health groups

Purpose: New audience acquisition, credibility building, waitlist growth

Content Strategy:

Free emotional regulation workshops

Value-first approach (give before asking)

Exclusive group trials or class access

Tactics/Execution

Ambassador Program

Recruitment: Target existing engaged followers and users who already comment/engage

Structure:

Free lifetime access in exchange for content creation

Each ambassador creates their own "Welcome to My Crash Out Diary" series

Weekly content requirements (3-5 posts minimum)

Referral tracking for waitlist signups

Support: Content templates, messaging guidelines, weekly check-ins

Goal: 20+ active ambassadors by launch

Email Sequences

Sequence 1: Existing User Re-engagement (5,559 emails)

Email 1: "You're already on the VIP list" - auto-add to waitlist announcement

Email 2: "Remember when you crashed out with us?" - product evolution story

Email 3: "Your crash out diary is almost here" - feature previews

Email 4: Founding member pricing announcement

Email 5: Launch countdown begins

Sequence 2: Core User Conversion (1,421 users)

Personalized outreach highlighting their engagement ("You've crashed out X times...")

Early access VIP positioning

Direct conversion asks with urgency

Sequence 3: New Waitlist Nurture

Welcome sequence for new signups

Educational content about emotional regulation

Community building and social proof

Launch date announcements

Direct Outreach Campaign

Warm DM outreach to every person who's ever commented on content

Personal engagement with top followers and engaged users

Ambassador recruitment conversations with high-potential community members

Target: 100+ meaningful conversations per week

Content Series Launch

"Welcome to My Crash Out Diary" daily series across TikTok, IG, Threads

Behind-the-scenes building content on founder channels

Educational carousel/graphics for emotional regulation pillar

Live crash out moments and real-time app usage demos

UGC amplification of community and ambassador content

Waitlist Growth Tactics

Referral incentives (early access, exclusive perks)

Milestone celebrations (7K, 8K, 9K, 10K waitlist)

Social proof content showing waitlist numbers growing

Community partnership workshops driving signups

Ambassador waitlist challenges with tracking

Launch Day Activation

Tier 1 (Core users): Immediate access email + personal outreach

Tier 2 (Email list): 24-hour early access window with urgency messaging

Tier 3 (Waitlist): General launch announcement with founding member pricing

Ambassador blitz: Coordinated content across all ambassadors
Founder content: Launch day diary entry across all platforms

Metrics

Waitlist Growth Metrics:

New waitlist signups per day (Target: ~240/day to hit 5,000 new)
Waitlist conversion rate from content
Ambassador referral performance
Email list growth rate

Engagement Metrics:

Content engagement rate by platform (Target: 8%+)
Daily meaningful interactions (Target: 50+)
Ambassador content performance
Community partnership workshop attendance

Conversion Metrics:

Email open rates (Target: 35%+)
Email click-through rates (Target: 12%+)
Waitlist to download conversion (Target: 18%+)
Core user to paid conversion (Target: 70.4%+)
Total paid accounts (Target: 1,000)

Revenue Metrics:

MRR tracking
Annual vs monthly subscription split
Founding member vs regular pricing uptake
Total revenue toward \$40K goal

Website

Landing Page Build: Crash Out Diary

Overview

Single-scroll landing page for Crash Out Diary, a mental health app for young women (16-25) who "crash out"—emotional spiraling, venting, losing it. This is capturing interest and driving users to the crash out flow and assessment.

Tech notes:

- Mobile-first
- Light mode
- Fast load, no heavy assets
- Primary CTA links to crash out flow
- Secondary CTA and Blueprint CTA link to assessment flow

Section 1: Hero

Headline: A soft place to land in a really rough world.

Subhead: Crash Out Diary is where you spiral on purpose—so you stop spiraling in real life.

Primary CTA button: Crash out here, not IRL

Secondary CTA button: Get your Emotional Blueprint

Section 2: The Data

Header: You're not dramatic. You're overwhelmed.

Body: "57% of young women report persistent sadness — the highest rate ever recorded." (CDC 2023)

"The average wait for mental health support is 67 days." (General Hospital Psychiatry)

"50% of adults report experiencing loneliness." (US Surgeon General)

Subtext: You're not broken. Your brain just needs somewhere to put it.

Visual: Minimal stat callout, no illustration

Section 3: How It Works

Header: Three ways to catch yourself before you wreck yourself

Feature 1:

- **Title:** Crash Out Ritual
- **Body:** Vent it out. Voice note, text dump, whatever. Out of your head, onto the page.

Feature 2:

- **Title:** Wellness Companion
- **Body:** Your AI that's actually in your corner. Not therapy-speak. Not a script. Knows your patterns, calls you in, talks you through it.

Feature 3:

- **Title:** Mini Interventions
- **Body:** Quick games that interrupt the spiral. Redirect the energy. Reset your nervous system.

Section 4: Emotional Blueprint

Header: Your Emotional Blueprint

Subhead: Attitude Analytics for your brain.

Body: 7 questions. One report that maps your crash out patterns (think spotify wrapped for your attitude) triggers, timing, the loop you keep running. Then 28 days of SMS coaching from a companion who's goal is to help you get 1% better and crash out a little less.

CTA button: Get Your Blueprint

Footer

Left: Crash Out Diary logo

Links row: Be A Crash Out Angel | Terms | Privacy | FAQ & Support | Trust & Safety | Contact

App download row: Download the App → [App Store link]

Bottom: © Soft Landing Company

Before implementing a design plan. We need to discuss what images you'd need and where we can put images. I have a whole library of crash out girls – i want this to feel premium and This is going to be a long shot, but I want girls from 13 to 45 to be able to find a place here and be designed not to exclude anyone.